

Financial
reporting

CURRENT LIABILITIES, PROVISIONS, AND CONTINGENCIES (IAS 37)

By Kebrysfaw G.

CURRENT LIABILITIES

“What is a Liability?”

Liability is defined as present obligation of the company arising from past events, the settlement of which is expected to result in an outflow from the company of resources, embodying economic benefits.

Three essential characteristics:

1. Present obligation.
2. Arises from past events.
3. Results in an outflow of resources (cash, goods, services).

Current liabilities are “obligations whose liquidation is reasonably expected to require use of existing resources properly classified as current assets, or the creation of other current liabilities.”

A current liability is reported if one of two conditions exists:

1. Liability is expected to be settled within its normal operating cycle;
or
2. Liability is expected to be settled within 12 months after the reporting date.

CURRENT LIABILITIES

Typical Current Liabilities:

- | | |
|--|---|
| 1. Accounts payable. | 6. Customer advances and deposits. |
| 2. Notes payable. | |
| 3. Current maturities of long-term debt. | 6. Unearned revenues. |
| 4. Short-term obligations expected to be refinanced. | 6. Sales and value-added taxes payable. |
| 5. Dividends payable. | 6. Income taxes payable. |
| | 6. Employee-related liabilities. |

CURRENT LIABILITIES

Accounts Payable (trade accounts payable)

Balances owed to others for goods, supplies, or services purchased on open account.

- ◆ Arises because of time lag between the receipt of services or acquisition of title to assets and the payment for them.
- ◆ Terms of the sale (e.g., 2/10, n/30 or 1/10, E.O.M.) usually state period of extended credit, commonly 30 to 60 days.
- ◆ These liabilities typically are noninterest-bearing and are reported at their face amounts.

CURRENT LIABILITIES

Notes Payable

Written promises to pay a certain sum of money on a specified future date.

- ◆ Arise from purchases, financing, or other transactions.
- ◆ Notes classified as short-term or long-term.
- ◆ Notes may be interest-bearing or zero-interest-bearing.

CURRENT LIABILITIES

Interest-Bearing Note Issued

Illustration: Castle National Bank agrees to lend €100,000 on March 1, 2015, to Landscape Co. if Landscape signs a €100,000, 6 percent, four-month note. Landscape records the cash received on March 1 as follows:

Cash	100,000
------	---------

Notes Payable	100,000
---------------	---------

Interest-Bearing Note Issued

If Landscape prepares financial statements semiannually, it makes the following adjusting entry to recognize interest expense and interest payable at June 30, 2015:

Interest calculation = $(€100,000 \times 6\% \times 4/12) = €2,000$

Interest Expense 2,000

Interest Payable 2,000

Interest-Bearing Note Issued

At maturity (July 1, 2016), Landscape records payment of the note and accrued interest as follows.

Notes Payable	100,000
Interest Payable	2,000
Cash	102,000

CURRENT LIABILITIES

Zero-Interest-Bearing Note Issued

This note does not explicitly state an interest rate on the face of a note. Interest is still charged, however. At maturity, the borrower must pay back an amount greater than the cash received at issuance date.

Illustration: On March 1, Landscape issues a €102,000, four-month, zero-interest-bearing note to Castle National Bank. The present value of the note is €100,000. Landscape records this transaction as follows.

Cash	100,000	
Notes Payable		100,000
		OR
Cash	100,000	
Discount on Notes Payable		2,000
Notes Payable		102,000

Zero-Interest-Bearing Note Issued

If Landscape prepares financial statements semiannually, it makes the following adjusting entry to recognize interest expense and the increase in the note payable of €2,000 at June 30.

Interest Expense	2,000
------------------	-------

Notes Payable/Discount on N/P	2,000
-------------------------------	-------

At maturity (July 1), Landscape must pay the note, as follows.

Notes Payable	102,000
---------------	---------

Cash	102,000
------	---------

CURRENT LIABILITIES

E13-2: (Accounts and Notes Payable) The following are selected 2015 transactions of Darby Corporation.

Sept. 1 - Purchased inventory from Orion Company on account for \$50,000. Darby records purchases gross and uses a periodic inventory system.

Oct. 1 - Issued a \$50,000, 12-month, 8% note to Orion in payment of account.

Oct. 1 - Borrowed \$75,000 from the Shore Bank by signing a 12-month, zero-interest-bearing \$81,000 note.

Prepare journal entries for the selected transactions.

CURRENT LIABILITIES

Sept. 1 - Purchased inventory from Orion Company on account for \$50,000. Darby records purchases gross and uses a periodic inventory system.

Sept. 1	Purchases	50,000	
	Accounts Payable		50,000

CURRENT LIABILITIES

Oct. 1 - Issued a \$50,000, 12-month, 8% note to Orion in payment of account.

Oct. 1	Accounts Payable	50,000	
	Notes Payable		50,000

Interest calculation = $(\$50,000 \times 8\% \times 3/12) = \$1,000$

Dec. 31	Interest Expense	1,000	
	Interest Payable		1,000

CURRENT LIABILITIES

Oct. 1 - Borrowed \$75,000 from the Shore Bank by signing a 12-month, zero-interest-bearing \$81,000 note.

Oct. 1	Cash	75,000	
	Notes Payable		75,000

Interest calculation = $(\$6,000 \times 3/12) = \$1,500$

Dec. 31	Interest Expense	1,500	
	Notes Payable		1,500

CURRENT LIABILITIES

Current Maturities of Long-Term Debt

Portion of bonds, mortgage notes, and other long-term indebtedness that matures within the next fiscal year. It categorizes this amount as **current maturities of long-term debt**

Exclude long-term debts maturing currently if they are to be:

1. Retired by assets accumulated that have not been shown as current assets,
2. Refinanced, or retired from the proceeds of a new debt issue, or
3. Converted into ordinary shares.

CURRENT LIABILITIES: *Dividends Payable*

Amount owed by a corporation to its stockholders as a result of board of directors' authorization.

- ◆ Because companies always pay cash dividends within one year of declaration (generally within three months), they classify them as current liabilities.
- ◆ Undeclared dividends on cumulative preference shares not recognized as a liability. Why? Because preferred dividends in arrears are not an obligation until the board of directors authorizes the payment.
- ◆ Dividends payable in the form of additional shares are not recognized as a liability because such stock dividends do not require future outlays of assets or services.
 - ▶ Reported in equity because they represent retained earnings in the process of transfer to paid-in capital.

CURRENT LIABILITIES

Customer Advances and Deposits

Returnable cash deposits received from customers and employees.

- ◆ To guarantee performance of a contract or service or
- ◆ As guarantees to cover payment of expected future obligations.

Note: May be classified as current or non-current liabilities. The classification of these items as current or noncurrent liabilities depends on the time between the date of the deposit and the termination of the relationship that required the deposit.

CURRENT LIABILITIES: *Unearned Revenues*

Payment received before providing goods or performing services.

How do these companies account for unearned revenues ?

1. When a company receives an advance payment, it debits Cash, and credits a current liability account identifying the source of the unearned revenue.
2. When a company recognizes revenue, it debits the unearned revenue account, and credits a revenue account.

Type of Business	Account Title	
	Unearned Revenue	Revenue
Airline	Unearned Passenger Ticket Revenue	Passenger Revenue
Magazine publisher	Unearned Subscription Revenue	Subscription Revenue
Hotel	Unearned Rental Revenue	Rental Revenue
Auto dealer	Unearned Warranty Revenue	Warranty Revenue
Retailers	Unearned Gift Card Revenue	Sales Revenue

CURRENT LIABILITIES

BE13-6: Sports Pro Magazine sold 12,000 annual subscriptions on August 1, 2015, for €18 each. Prepare Sports Pro's August 1, 2015, journal entry and the December 31, 2015, annual adjusting entry.

Aug. 1	Cash	216,000	
	Unearned Revenue		216,000
	(12,000 x €18)		
Dec. 31	Unearned Revenue	90,000	
	Subscription Revenue		90,000
	(€216,000 x 5/12 = €90,000)		

CURRENT LIABILITIES

Sales and Value-Added Taxes Payable

Consumption taxes are generally either

- ◆ a sales tax or
- ◆ a value-added tax (VAT).

Purpose is to generate revenue for the government.

The two systems use different methods to accomplish this objective.

Sales Taxes Payable

Illustration: Halo Supermarket sells loaves of bread to consumers on a given day for €2,400. Assuming a sales tax rate of 10 percent, Halo Supermarket makes the following entry to record the sale.

Cash	2,640	
Sales Revenue		2,400
Sales Taxes Payable		240

Value-Added Taxes Payable

Illustration: The VAT is collected every time a business purchases products from another business in the product's supply chain. To illustrate,

1. Hill Farms Wheat Company grows wheat and sells it to Sunshine Baking for €1,000. Hill Farms Wheat makes the following entry to record the sale, assuming the VAT is 10 percent.

Cash	1,100		
	Sales Revenue	1,000	
	Value-Added Taxes Payable		100

Value-Added Taxes Payable

2. Sunshine Baking makes loaves of bread from this wheat and sells it to Halo Supermarket for €2,000. Sunshine Baking makes the following entry to record the sale, assuming the VAT is 10 percent.

Cash	2,200		
	Sales Revenue	2,000	
	Value-Added Taxes Payable		200

Sunshine Baking then remits €100 to the government, not €200. The reason: Sunshine Baking has already paid €100 to Hill Farms Wheat.

Value-Added Taxes Payable

3. Halo Supermarket sells the loaves of bread to consumers for €2,400. Halo Supermarket makes the following entry to record the sale, assuming the VAT is 10 percent.

Cash	2,640	
Sales Revenue		2,400
Value-Added Taxes Payable		240

Halo Supermarket then sends only €40 to the tax authority as it deducts the €200 VAT already paid to Sunshine Baking.

CURRENT LIABILITIES

Income Tax Payable

Businesses must prepare an income tax return and compute the income tax payable.

- ◆ Taxes payable are a current liability.
- ◆ Corporations must make periodic tax payments.
- ◆ Differences between taxable income and accounting income sometimes occur. Because of these differences, the amount of income taxes payable to the government in any given year may differ substantially from income tax expense as reported on the financial statements.

CURRENT LIABILITIES

Employee-Related Liabilities

Amounts owed to employees for salaries or wages are reported as a current liability.

Current liabilities may include:

- ◆ Payroll deductions.
- ◆ Compensated absences.
- ◆ Bonuses.

Employee-Related Liabilities

Payroll Deductions

To the extent that a company has not remitted the amounts deducted to the proper authority at the end of the accounting period, it should recognize them as current liabilities.

Taxes:

- ▶ Social Security Taxes
- ▶ Income Tax Withholding

Item	Who Pays	
Income tax withholding		} Employer reports these amounts as liabilities until remitted.
Social Security taxes—employee share	Employee	
Union dues		
Social Security taxes—employer share	Employer	

Employee-Related Liabilities

Illustration: Assume a weekly payroll of \$10,000 entirely subject to Social Security taxes (8%), with income tax withholding of \$1,320 and union dues of \$88 deducted. The company records the wages and salaries paid and the employee payroll deductions as follows.

Wages and Salaries Expense	10,000	
Withholding Taxes Payable		1,320
Social Security Taxes Payable		800
Union Dues Payable		88
Cash		7,792

Employee-Related Liabilities

Illustration: Assume a weekly payroll of \$10,000 entirely subject to Social Security taxes (8%), with income tax withholding of \$1,320 and union dues of \$88 deducted. The company records the employer payroll taxes as follows.

Payroll Tax Expense	800	
Social Security Taxes Payable		800

The employer must remit to the government its share of Social Security tax along with the amount of Social Security tax deducted from each employee's gross compensation.

Employee-Related Liabilities

Compensated Absences

Paid absences for vacation, illness and maternity, paternity, and jury leaves.

Companies should accrue a liability for the cost of compensation for future absences if all of the following conditions exist.

- (a) The employer's obligation relating to employees' rights to receive compensation for future absences is attributable to employees' services already rendered.
- (b) The obligation relates to the rights that vest or accumulate.
- (c) Payment of the compensation is probable.
- (d) The amount can be reasonably estimated.

Employee-Related Liabilities

Compensated Absences

The following considerations are relevant to the accounting for compensated absences.

Vested rights - employer has an obligation to make payment to an employee even after terminating his or her employment. Thus, vested rights are not contingent on an employee's future service.

Accumulated rights - employees can carry forward to future periods if not used in the period in which earned.

Non-accumulating rights - do not carry forward; they lapse if not used.

Companies should recognize the expense and related liability for compensated absences in the year earned by employees.

Employee-Related Liabilities

Illustration: Amutron Inc. began operations on January 1, 2015. The company employs 10 individuals and pays each €480 per week. Employees earned 20 unused vacation weeks in 2015. In 2016, the employees used the vacation weeks, but now they each earn €540 per week. Amutron accrues the accumulated vacation pay on December 31, 2015, as follows.

Salaries and Wages Expense	9,600	
Salaries and Wages Payable		9,600

In 2016, it records the payment of vacation pay as follows.

Salaries and Wages Payable	9,600	
Salaries and Wages Expense	1,200	
Cash		10,800

Employee-Related Liabilities

Profit-Sharing and Bonus Plans

Payments to certain or all employees in addition to their regular salaries or wages.

Frequently the bonus amount depends on the company's yearly profit.

A company may consider bonus payments to employees as additional wages and should include them as a deduction in determining the net income for the year.

- ◆ Bonuses paid are an operating expense.
- ◆ Unpaid bonuses should be reported as a current liability.

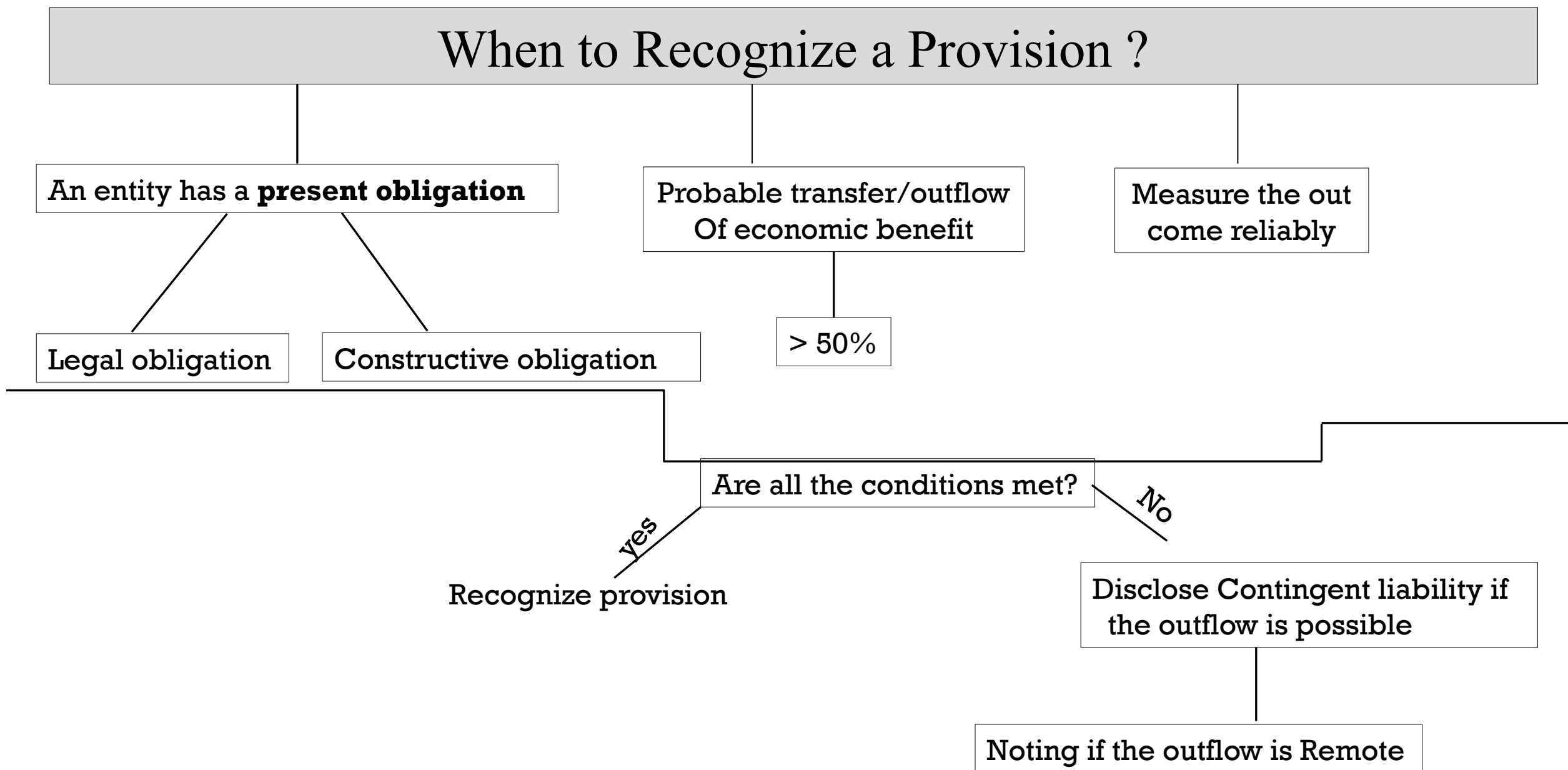
IAS 37 , PROVISION, CONTINGENT LIABILITY AND CONTINGENT ASSET.

A PROVISION IS A LIABILITY OF **UNCERTAIN TIMING** OR **AMOUNT**.

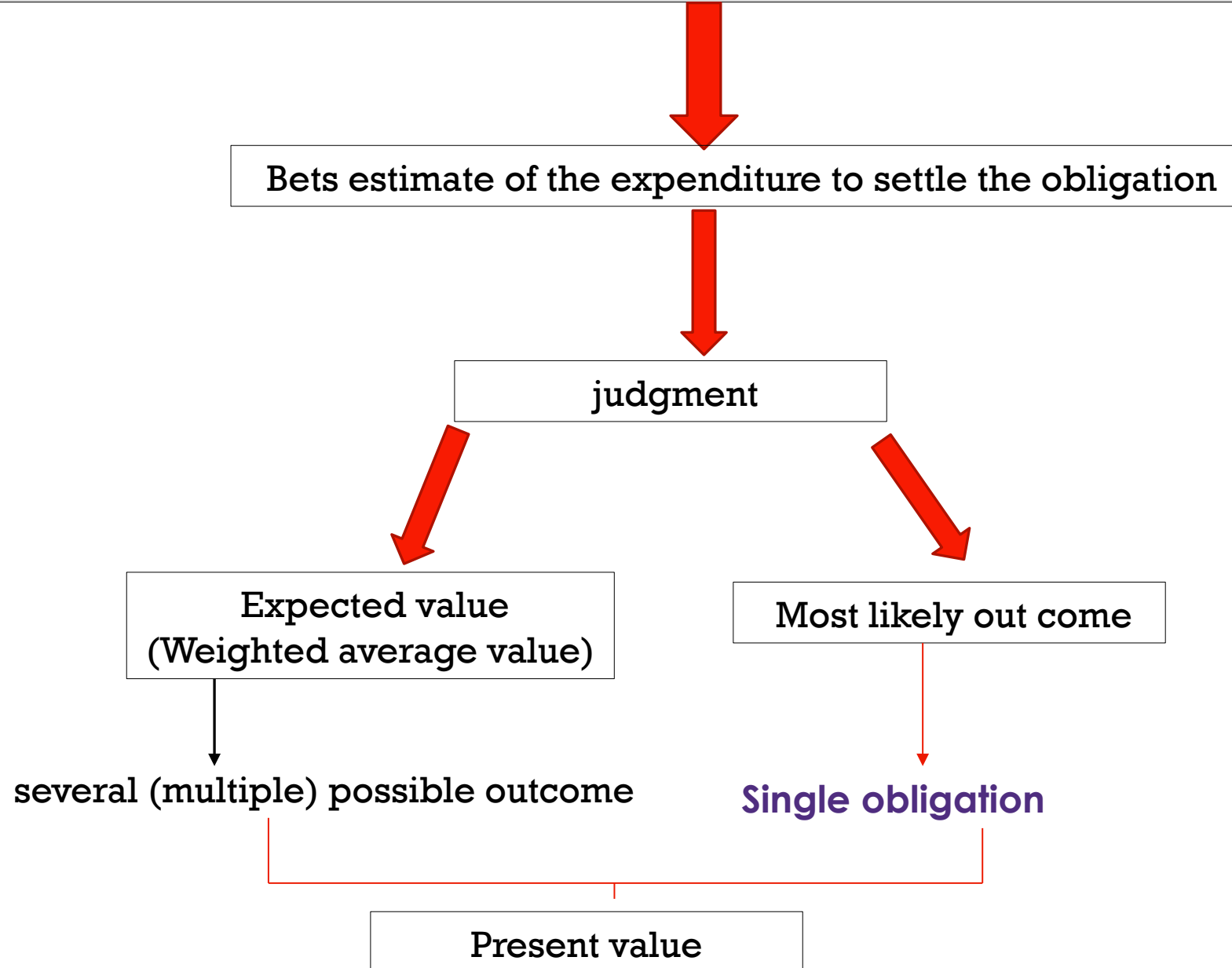
<u>Item</u>	<u>Description</u>	<u>Uncertainty</u>	<u>Classifications</u>
Trade payables	Goods/services that: • have been received and • have been invoiced/agreed	No uncertainty	NOT A PROVISION
Accruals	Goods/services that: • have been received but • have not been paid, invoiced or agreed	Not a significant uncertainty	NOT A PROVISION
Warranty obligation	Obligation to repair defects for Goods that were sold	significant uncertainty	PROVISION (Provided that other conditions are met)

Common Types of provision :

- | | | |
|--------------------------|----------------------|------------------|
| 1. Lawsuits | 4. Environmental | 7. Profit Bonus |
| 2. Warranties | 4. Onerous contracts | 4. Severance pay |
| 3. Consideration payable | 4. Restructuring | |



How to measure a Provision ?



Provisions Measurement

Basic principle

Best estimate of required expenditure (the amount entity would rationally pay to settle)

Excludes expected disposal of assets

Portfolio vs single obligations

Large populations

- expected value (probability-weighting of all possible outcomes)
- mid-point of range

Single obligation

- most likely outcome **may** be best estimate
- other outcomes should also be considered

Risks & uncertainty

Risks and uncertainties must be taken into account

- risk adjustments may increase liability
- risk adjustments should not be duplicated

Time value

Discount to PV if time value material, using rate that:

- is pre-tax
- reflects risks specific to liability (either adjust cash flows or adjust discount rate).

IAS 37 , PROVISION, CONTINGENT LIABILITY AND CONTINGENT ASSET.

- Entity A has manufactured and delivered a **custom-designed ship** and has a **warranty obligation** to **repair any faults** in the next 12 months
- management **estimates** the following two possible outcomes, their associated probability and cost:
 - no faults: **20% probability**, zero cost
 - normal faults: **80% probability**, cost CU10,000.

What is the accounting treatment in accordance with IAS 37 (ignoring the time value)?

A provision of CU10,000 is an appropriate 'best estimate' since the most likely outcome is CU10,000.

- Entity B has manufactured and delivered a **custom-designed ship** and has a **warranty obligation** to **repair any faults** in the next 12 months
- management **estimates** the following three possible outcomes, their associated probability and cost:
 - no faults: **25% probability**, zero cost
 - normal faults: **40% probability**, cost CU10,000
 - major faults: **35% probability**, cost CU100,000.

What is the accounting treatment in accordance with IAS 37 (ignoring the time value)?

a provision of CU39,000 (being: $CU10,000 \times 40\% + CU100,000 \times 35\%$) is an appropriate 'best estimate'.

Common Types of Provisions

Warranty Provisions

Promise made by a seller to a buyer to make good on a deficiency of quantity, quality, or performance in a product.

If it is probable that customers will make warranty claims and a company can reasonably estimate the costs involved, the company must record an expense.

Warranty Provisions

Companies often provide one of two types of warranties to customers:

Assurance-Type Warranty

A quality guarantee that the good or service is free from defects at the point of sale.

- ◆ Obligations should be expensed in the period the goods are provided or services performed (in other words, at the point of sale).
- ◆ Company should record a warranty liability.

Assurance-Type Warranty

Facts: Denson Machinery Company begins production of a new machine in July 2015 and sells 100 of these machines for \$5,000 cash by year-end. Each machine is under warranty for one year. Denson estimates, based on past experience with similar machines, that the warranty cost will average \$200 per unit. Further, as a result of parts replacements and services performed in compliance with machinery warranties, it incurs \$4,000 in warranty costs in 2015 and \$16,000 in 2016.

Question: What are the journal entries for the sale and the related warranty costs for 2015 and 2016?

Assurance-Type Warranty

Solution: For the sale of the machines and related warranty costs in 2015 the entry is as follows.

1. To recognize sales of machines and accrual of warranty liability:

July–December 2015

Cash	500,000	
Warranty Expense	20,000	
Warranty Liability		20,000
Sales Revenue		500,000

2. To record payment for warranties incurred:

Warranty Liability 4,000

Cash, Inventory, Accrued Payroll	4,000
----------------------------------	-------

The December 31, 2015, statement of financial position reports Warranty Liability as a current liability of \$16,000. The income statement for 2015 reports Warranty Expense of \$20,000.

Warranty Provisions

Companies often provide one of two types of warranties to customers:

Service-Type Warranty

An extended warranty on the product at an additional cost.

- ◆ Usually recorded in an Unearned Warranty Revenue account.
- ◆ Recognize revenue on a straight-line basis over the period the service-type warranty is in effect.

Service-Type Warranty

Facts: You purchase an automobile from Hamlin Auto for €30,000 on January 2, 2014. Hamlin estimates the assurance-type warranty costs on the automobile to be €700 (Hamlin will pay for repairs for the first 36,000 miles or three years, whichever comes first). You also purchase for €900 a service-type warranty for an additional three years or 36,000 miles. Hamlin incurs warranty costs related to the assurance-type warranty of €500 in 2014 and €200 in 2015. Hamlin records revenue on the service-type warranty on a straight-line basis.

Question: What entries should Hamlin make in 2014 and 2017?

Service-Type Warranty

Solution:

1. To record the sale of the automobile and related warranties:

January 2, 2014

Cash (€30,000 + €900)	30,900	
Warranty Expense	700	
Warranty Liability	700	
Unearned Warranty Revenue		900
Sales Revenue	30,000	

Service-Type Warranty

Solution:

3. To record revenue recognized in 2017 on the service-type warranty:

January 1–December 31, 2017

Unearned Warranty Revenue (€900 ÷ 3) 300

 Warranty Revenue 300

Common Types of Provisions

Onerous Contract Provisions

“The unavoidable costs of meeting the obligations exceed the economic benefits expected to be received.”

An example of an onerous contract is a loss recognized on unfavorable non cancelable commitments relate to inventory items.

The expected costs should reflect the least net cost of exiting from the contract, which is the lower of

- 1.the cost of fulfilling the contract, or
- 2.the compensation or penalties arising from failure to fulfill the contract.

Onerous Contract Provisions

Illustration: Sumart Sports operates profitably in a factory that it has leased and on which it pays monthly rentals. Sumart decides to relocate its operations to another facility. However, the lease on the old facility continues for the next three years. Unfortunately, Sumart cannot cancel the lease nor will it be able to sublet the factory to another party. The expected costs to satisfy this onerous contract are €200,000. In this case, Sumart makes the following entry.

Loss on Lease Contract	200,000
------------------------	---------

Lease Contract Liability	200,000
--------------------------	---------

Onerous Contract Provisions

Assume the same facts as above for the Sumart example and the expected costs to fulfill the contract are €200,000. However, Sumart can cancel the lease by paying a penalty of €175,000. In this case, Sumart should record the liability as follows.

Loss on Lease Contract	175,000
------------------------	---------

Lease Contract Liability	175,000
--------------------------	---------

Common Types of Provisions

Self-Insurance

Self-insurance is not insurance, but risk assumption.

There is **little theoretical justification** for the establishment of a liability based on a hypothetical charge to insurance expense.

Conditions for accrual stated in **IFRS** are not satisfied prior to the occurrence of the event.

Contingent liability

A **contingent liability** is:

1. a **POSSIBLE obligation** that arises from **past events AND**
2. its **existence** will be confirmed only by the occurrence/non-occurrence of uncertain future events **not wholly within the control of the entity**

1. a **PRESENT obligation** that arises from **past events BUT**
2. is **not recognised** because it is **not probable** that an outflow of economic benefits will be required

1. a **PRESENT obligation** that arises from **past events BUT**
2. is **not recognised** because the **amount** of the **obligation** cannot be **reliably measured**

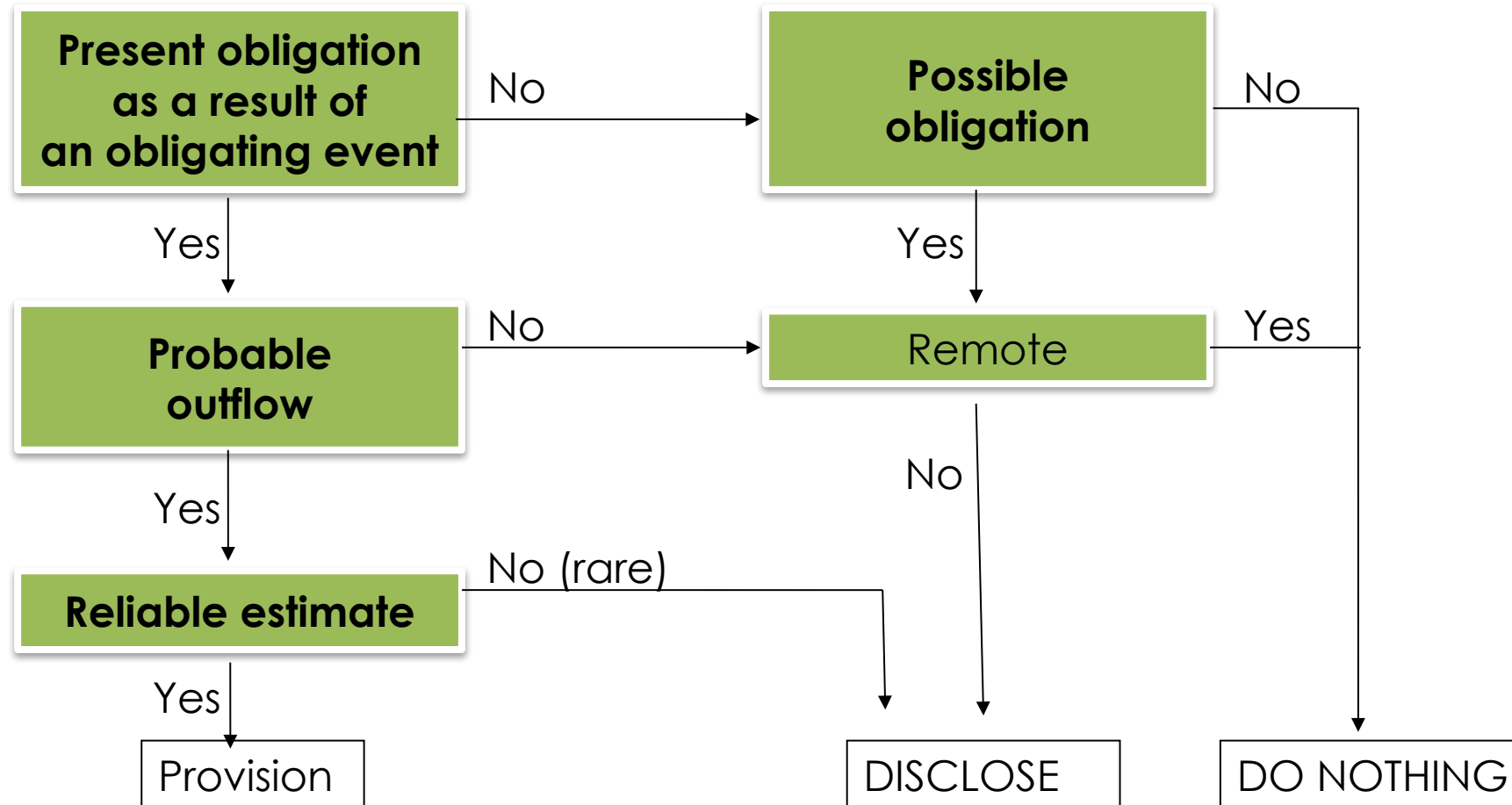
OR

OR

An entity should **not recognise a contingent liability**
Disclosure only (unless possibility of outflow is remote)

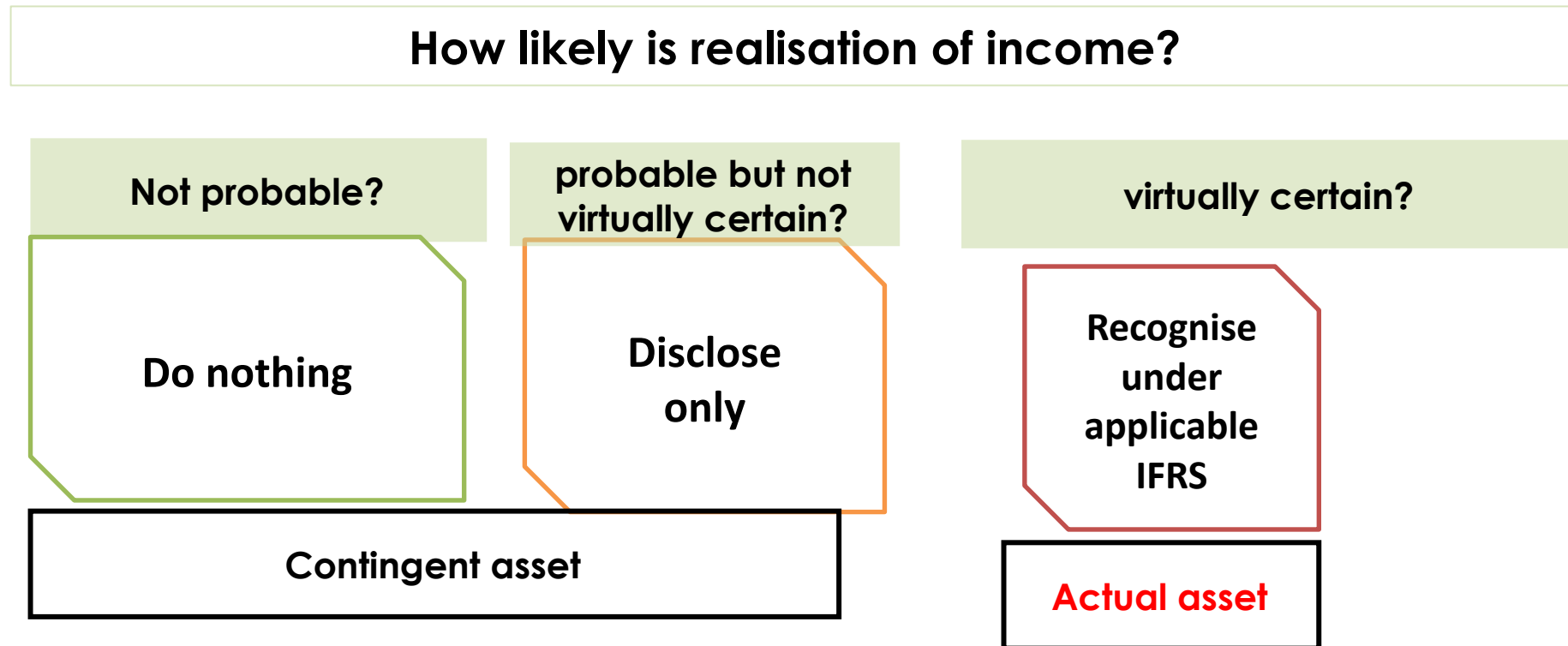
Provisions and contingent liabilities

Decision tree



Contingent assets

1. **possible asset** that arises from past events and
2. whose existence will be confirmed only by the occurrence or non-occurrence of **uncertain future events** not wholly within **the entity's control**





Part Two

Reasons for Issuance of Long-term Debt

Borrowing, which results in a long-term liability, is one of the choices available to companies seeking to obtain financial resources..

1. *Debt financing may be the only available source of funds.* Many small- and medium sized companies may appear too risky to investors to attract equity (i.e., capital stock) investments.
2. *Debt financing may have a lower cost.* Historically, since debt has a lesser investment risk than stock, it usually has offered a relatively lower rate of return.
3. *Debt financing offers an income tax advantage.* Interest payments to debt holders are deductible by a corporation as interest expense for income tax purposes, whereas dividend payments on equity securities are not.
3. *The voting privilege is not shared.* Corporate stockholders may not wish to share ownership. Thus, by issuing debt, which does not provide voting rights, ownership interests are not diluted.
3. *Debt financing offers the opportunity for leverage.* The term leverage (or trading on the equity) refers to a company's use of borrowed funds. By investing these funds, the company expects to earn a return greater than the interest it will pay for their use and thereby benefit the stockholders. Earnings in excess of interest charges (net of the applicable income tax reduction) increase earnings per share.

Bonds Payable

Non-current liabilities (long-term debt) consist of an expected outflow of resources arising from present obligations that are not payable within a year or the operating cycle of the company, whichever is longer.

Examples: Bonds payable, Long-term notes payable, Mortgages payable, Pension liabilities, lease Liability

- ❖ Bond contract known as a **bond indenture**.
- ◆ Represents a promise to pay sum of money at designated maturity date, plus periodic interest at a specified rate on the maturity amount (face value).
- ◆ Paper certificate, typically a €1,000 face value.
- ◆ Interest payments usually made semiannually.
- ◆ Used when the amount of capital needed is too large for one lender to supply.

Types and Ratings of Bonds

Common types found in practice:

- ✓ Secured and Unsecured (debenture) bonds.
- ✓ Term, Serial, and Callable bonds.
- ✓ Convertible, Commodity-Backed, Deep-Discount bonds.
- ✓ Registered and Bearer (Coupon) bonds.
- ✓ Income and Revenue bonds.

Corporate bond listing.

What do the numbers mean?

Issuer	Coupon	Maturity	Price	Yield	Rating
Vodafone Group	5.00	2018/06/04	106.66	4.05	AA
Telecom Italia S.p.A.	5.25	2022/10/02	100.00	5.25	BB ⁺

Company Name

Interest rate paid as a
% of par value

Price as a % of par

Interest rate based on price

Creditworthiness

Valuation of Bonds Payable

Selling price of a bond issue is set by the

- ✓ supply and demand of buyers and sellers,
 - ✓ relative risk,
 - ✓ market conditions, and state of the economy.
- ❖ Investment community values a bond at the present value of its expected future cash flows, which consist of (1) interest and (2) principal.

Interest Rate

- ◆ **Stated, coupon, or nominal rate** = Rate written in the terms of the bond indenture.
 - ▶ Bond issuer sets this rate & Stated as a percentage of bond face value (par).
- ◆ **Market rate or effective yield** = Rate that provides an acceptable return commensurate with the issuer's risk.
 - ▶ Rate of interest actually earned by the bondholders.

Valuation of Bonds Payable

How do you calculate the amount of interest that is actually paid to the bondholder each period?

(Stated rate x Face Value of the bond)

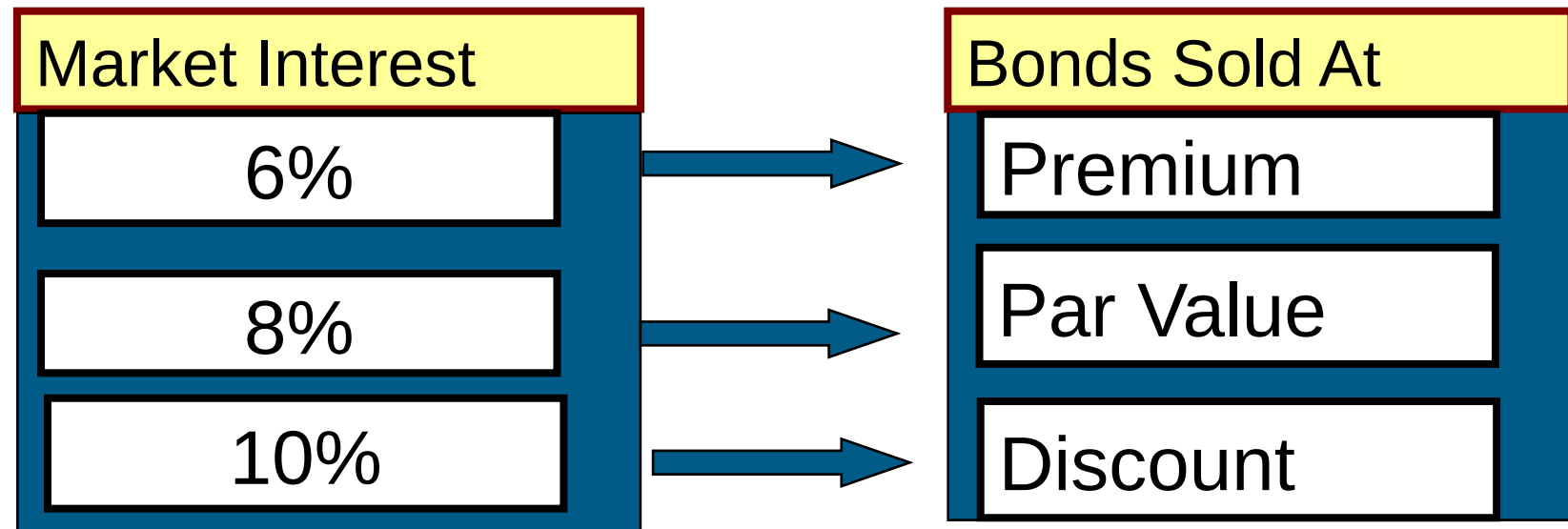
How do you calculate the amount of interest that is actually recorded as interest expense by the issuer of the bonds?

(Market rate x Carrying Value of the bond)

Recognize financial liability when, and only when, the entity becomes a party to the contractual provisions of the instrument (ie trade date)

- ✓ Initially all liabilities shall be recognized at fair value
- ✓ In Subsequent years, financial liabilities shall be measured through amortized cost

Assume Stated Rate of 8%



Bonds Issued at Par

Illustration: Santos Company issues R\$100,000 in bonds dated January 1, 2015, due in five years with 9 percent interest payable annually on January 1. At the time of issue, the market rate for such bonds is 9 percent.

Price of the bond = PV (Principal) + PV (interest)

$$PV (P) = \frac{\text{Principal}}{(1+i)^n}$$

Annual coupon =

$$PMT = 100,000 \times 0.09 = 9,000$$

$$PV (I) = P = PMT \times \frac{1 - \left(\frac{1}{(1+r)^n}\right)}{r}$$

given principal (Face value) = \$100,000

stated (coupon rate) = 0.09

Market (eff rate) = 0.09

$$PV (P) = \frac{100,000}{(1.09)^5} = 64,993$$

$$PV (I) = 9,000 \times \frac{(1 - (1/1.09)^5)}{0.09} = 35,007$$

$$\text{Price of the bond} = 64,993 + 35,007 = 100,000$$

Present value of the principal:

$$R\$100,000 \times .64993 \text{ (Table 6-2)}$$

R\$ 64,993

Present value of the interest payments:

$$R\$9,000 \times 3.88965 \text{ (Table 6-4)}$$

35,007

Present value (selling price) of the bonds

R\$100,000

Bonds Issued at Par

Issuer

Journal entry on date of issue, Jan. 1, 2015.

Cash	100,000
Bonds payable	100,000

Journal entry to record accrued interest at Dec. 31, 2015.

Interest expense	9,000
Interest payable	9,000

Journal entry to record first payment on Jan. 1, 2016.

Interest payable	9,000
Cash	9,000

Investor

Journal entry on date of purchase, Jan. 1, 2015.

Debt investment	100,000
cash	100,000

Journal entry to record accrued interest at Dec. 31, 2015.

Interest Receivable	9,000
Interest income	9,000

Journal entry to record first payment on Jan. 1, 2016.

cash	9,000
Interest receivable	9,000

Bonds Issued at a Discount

Illustration: Assuming now that Santos issues R\$100,000 in bonds, due in five years with 9 percent interest payable annually at year-end. At the time of issue, the market rate for such bonds is 11 percent.

Price of the bond = PV (Principal) + PV (interest)

$$\text{PV (P)} = \frac{100,000}{(1.11)^5} = 59,345 \quad \text{PV (I)} = 9,000 \frac{(1-(1/1.11)^5)}{0.11} = 33,263$$

$$\text{Price of the bond} = 59,345 + 33,263 = 92,608$$

Present value of the principal:

R\$100,000 × .59345 (Table 6-2)	R\$59,345.00
---------------------------------	--------------

Present value of the interest payments:

R\$9,000 × 3.69590 (Table 6-4)	33,263.10
--------------------------------	-----------

Present value (selling price) of the bonds	<u><u>R\$92,608.10</u></u>
--	----------------------------

Bonds Issued at a Discount

Issuer .

Journal entry on date of issue, Jan. 1, 2015.

Cash 92,608

 Bonds payable 92,608

Journal entry to record accrued interest at Dec. 31, 2015.

Interest expense ($\$92,608 \times 11\%$) 10,187

 Interest payable 9,000

 Bonds payable 1,187

Journal entry to record first payment on Jan. 1, 2016.

 Interest payable 9,000

 Cash 9,000

Investor

Journal entry on date of Acquisition , Jan. 1, 2015.

Debt investment 92,608

 Cash 92,608

Journal entry to record accrued interest at Dec. 31, 2015.

Debt Investment 1,187

 Interest Receivable 9,000

 Interest Income ($\$92,608 \times 11\%$) 10,187

Journal entry to record first payment on Jan. 1, 2016.

Cash 9,000

 Interest Receivable 9,000

Bonds Issued at a Discount

When bonds sell at less than face value:

- ✓ Investors demand a rate of interest higher than stated rate.
- ✓ Usually occurs because investors can earn a higher rate on alternative investments of equal risk.
- ✓ Cannot change stated rate so investors refuse to pay face value for the bonds.
- ✓ Investors receive interest at the stated rate computed on the face value, but they actually earn at an effective rate because they paid less than face value for the bonds.
- ✓ Bond issued at a discount - amount paid at maturity is more than the issue amount.
- ✓ Bonds issued at a premium - company pays less at maturity relative to the issue price.
- ✓ Adjustment to the cost is recorded as bond interest expense over the life of the bonds through a process called **amortization**.
- ✓ Required procedure for amortization is the **effective-interest method** (also called present value amortization).

Effective-Interest Method

Effective-interest method produces a periodic interest expense equal to a constant percentage of the carrying value of the bonds.

Bond Interest Expense				Bond Interest Paid				
Carrying Value of Bonds at Beginning of Period	×	Effective- Interest Rate	−	Face Amount of Bonds	×	Stated Interest Rate	=	Amortization Amount

Bonds Issued at a Premium [Term Bonds]

Illustration: Evermaster Corporation issued €100,000 of 8% term bonds on January 1, 2015, due on January 1, 2020, with interest payable each July 1 and January 1. Investors require an effective-interest rate of 6%. Calculate the bond proceeds.

$$\text{Annual coupon} = \text{PMT} = 100,000 \times 0.08 = 8,000 / 2 = 4,000$$

$$\begin{aligned} \text{given principal (Face value)} &= \$100,000 \\ \text{stated (coupon rate)} &= 0.08 / 2 = 0.04 \\ \text{Market (eff rate)} &= 0.06 / 2 = 0.03 \end{aligned}$$

$$\text{PV (P)} = \frac{100,000}{(1.03)^{10}} = 74,409$$

$$\text{PV (I)} = 4,000 \frac{(1 - (1/1.03)^{10})}{0.03} = 34,121$$

$$\text{Price of the bond} = \frac{(1.03)^{10}}{(1.03)^{10}} = 74,409 + 34,121 = 108,530$$

Maturity value of bonds payable		€100,000
Present value of €100,000 due in 5 years at 6%, interest payable semiannually (Table 6-2); $FV(PVF_{10,3\%})$; $(€100,000 \times .74409)$	€74,409	
Present value of €4,000 interest payable semiannually for 5 years at 6% annually (Table 6-4); $R(PVF-OA_{10,3\%})$; $(€4,000 \times 8.53020)$	34,121	
Proceeds from sale of bonds		(108,530)
Premium on bonds payable		€ 8,530

SCHEDULE OF BOND PREMIUM AMORTIZATION
EFFECTIVE-INTEREST METHOD—SEMIANNUAL INTEREST PAYMENTS
5-YEAR, 8% BONDS SOLD TO YIELD 6%

<u>Date</u>	<u>Cash Paid</u>	<u>Interest Expense</u>	<u>Premium Amortized</u>	<u>Carrying Amount of Bonds</u>
1/1/15				€108,530
7/1/15	€ 4,000 ^a	€ 3,256 ^b	€ 744 ^c	107,786 ^d
1/1/16	4,000	3,234	766	107,020
7/1/16	4,000	3,211	789	106,231
1/1/17	4,000	3,187	813	105,418
7/1/17	4,000	3,162	838	104,580
1/1/18	4,000	3,137	863	103,717
7/1/18	4,000	3,112	888	102,829
1/1/19	4,000	3,085	915	101,914
7/1/19	4,000	3,057	943	100,971
1/1/20	4,000	3,029	971	100,000
	<u>€40,000</u>	<u>€31,470</u>	<u>€8,530</u>	

^a€4,000 = €100,000 × .08 × 6/12

^b€3,256 = €108,530 × .06 × 6/12

^c€744 = €4,000 − €3,256

^d€107,786 = €108,530 − €744

Effective-Interest Method

SCHEDULE OF BOND PREMIUM AMORTIZATION
EFFECTIVE-INTEREST METHOD—SEMIANNUAL INTEREST PAYMENTS
5-YEAR, 8% BONDS SOLD TO YIELD 6%

<u>Date</u>	<u>Cash Paid</u>	<u>Interest Expense</u>	<u>Premium Amortized</u>	<u>Carrying Amount of Bonds</u>
1/1/15				€108,530
7/1/15	€ 4,000 ^a	€ 3,256 ^b	€ 744 ^c	107,786 ^d
1/1/16	4,000	3,234	766	107,020

ISSUER

Journal entry on date of issue, Jan. 1, 2015.

Cash	108,530	
Bonds payable		108,530

Investor

Journal entry on date of Acquisition , Jan. 1, 2015.

Debt investment	108,530	
Cash		108,530

Effective-Interest Method

SCHEDULE OF BOND PREMIUM AMORTIZATION EFFECTIVE-INTEREST METHOD—SEMIANNUAL INTEREST PAYMENTS 5-YEAR, 8% BONDS SOLD TO YIELD 6%				
<u>Date</u>	<u>Cash Paid</u>	<u>Interest Expense</u>	<u>Premium Amortized</u>	<u>Carrying Amount of Bonds</u>
1/1/15				€108,530
7/1/15	€ 4,000 ^a	€ 3,256 ^b	€ 744 ^c	107,786 ^d
1/1/16	4,000	3,234	766	107,020
7/1/16	4,000	3,211	789	106,231
1/1/17	4,000	3,187	813	105,418

Journal entry to record first payment and amortization of the premium on July 1, 2015.

ISSUER

Interest expense	3,256
Bonds payable	744
Cash	4,000

Investor

Cash	4,000
Interest income	3,256
Debt investment	744

Effective-Interest Method

Accrued Interest

What happens if Evermaster prepares financial statements at the end of February 2015? In this case, the company prorates the premium by the appropriate number of months to arrive at the proper interest expense, as follows.

Interest accrual ($€4,000 \times 2/6$)	€1,333.33
Premium amortized ($€744 \times 2/6$)	<u>(248.00)</u>
Interest expense (Jan.–Feb.)	<u><u>€1,085.33</u></u>

ISSUER

Investor

Evermaster records this accrual as follows.

Interest expense 1,085.33

Bonds payable 248.00

Interest payable 1,333.33

Interest Receivable 1,333,333

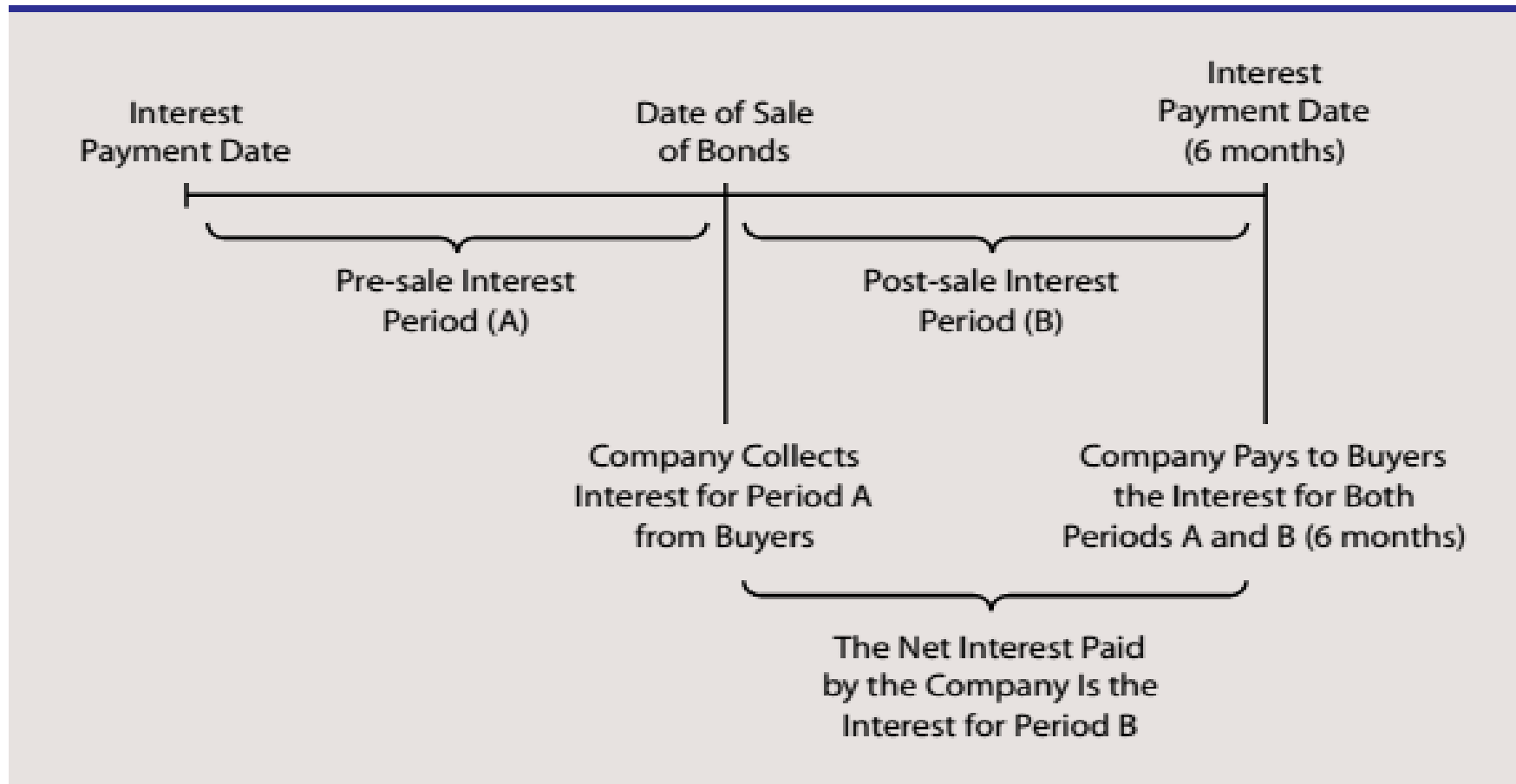
Interest income 1,085.33

Debt investment 248.00

Effective-Interest Method

Bonds Issued between Interest Dates

- ✓ Bond investors will pay the seller the interest accrued from the last interest payment date to the date of issue.
- ✓ On the next semiannual interest payment date, bond investors will receive the full six months' interest payment.



Effective-Interest Method

Bonds Issued at Par

Illustration: Assume Evermaster issued its five-year bonds, dated January 1, 2015, on May 1, 2015, at par (€100,000). Evermaster records the issuance of the bonds between interest dates as follows.

ISSUER

Cash	100,000
Bonds payable	100,000
$(€100,000 \times .08 \times 4/12) = €2,667$	
Cash	2,667
Interest expense	2,667

Investor

Debt investment	100,000
Cash	100,000
$(€100,000 \times .08 \times 4/12) = €2,667$	
Interest income	2,667
Cash	2,667

Long-term Notes Payable

Accounting is Similar to Bonds

- ◆ A note is valued at the present value of its future interest and principal cash flows.
- ◆ Company amortizes any discount or premium over the life of the note.

Notes Issued at Face Value

BE14-9: Coldwell, Inc. issued a €100,000, 4-year, 10% note at face value to Flint Hills Bank on January 1, 2015, and received €100,000 cash. The note requires annual interest payments each December 31. Prepare Coldwell's journal entries to record (a) the issuance of the note and (b) the December 31 interest payment.

(a)	Cash	100,000	
	Notes payable		100,000
(b)	Interest expense	10,000	
	Cash		10,000
	(€100,000 x 10% = €10,000)		

Notes Not Issued at Face Value

Zero-Interest-Bearing Notes

Issuing company records the difference between the face amount and the present value (cash received) as

- ◆ a discount and
- ◆ amortizes that amount to interest expense over the life of the note.

Zero-Interest-Bearing Notes

Illustration: Turtle Cove Company issued the three-year, \$10,000, zero-interest-bearing note to Jeremiah Company. The implicit rate that equated the total cash to be paid (\$10,000 at maturity) to the present value of the future cash flows (\$7,721.80 cash proceeds at date of issuance) was 9 percent.

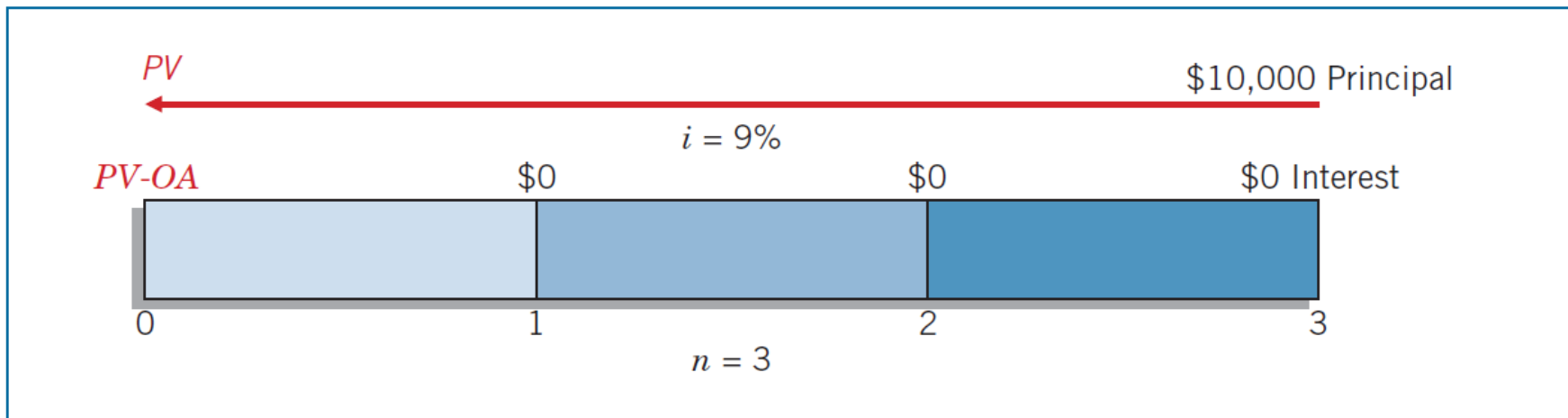


ILLUSTRATION 14-14
Time Diagram for Zero-Interest Note

Zero-Interest-Bearing Notes

Illustration: Turtle Cove Company issued the three-year, \$10,000, zero-interest-bearing note to Jeremiah Company. The implicit rate that equated the total cash to be paid (\$10,000 at maturity) to the present value of the future cash flows (\$7,721.80 cash proceeds at date of issuance) was 9 percent.

Turtle Cove records issuance of the note as follows.

Cash	7,721.80	
Notes Payable		7,721.80

Zero-Interest-Bearing Notes

SCHEDULE OF NOTE DISCOUNT AMORTIZATION EFFECTIVE-INTEREST METHOD 0% NOTE DISCOUNTED AT 9%				
	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount of Note
Date of issue				\$ 7,721.80
End of year 1	\$-0-	\$ 694.96 ^a	\$ 694.96 ^b	8,416.76 ^c
End of year 2	-0-	757.51	757.51	9,174.27
End of year 3	-0-	825.73 ^d	825.73	10,000.00
	<u>\$-0-</u>	<u>\$2,278.20</u>	<u>\$2,278.20</u>	
^a $\$7,721.80 \times .09 = \694.96 ^b $\$694.96 - 0 = \694.96 ^c $\$7,721.80 + \$694.96 = \$8,416.76$ ^d 5¢ adjustment to compensate for rounding.				

ILLUSTRATION 14-15
 Schedule of Note
 Discount Amortization

Zero-Interest-Bearing Notes

ILLUSTRATION 14-15
Schedule of Note
Discount Amortization

SCHEDULE OF NOTE DISCOUNT AMORTIZATION EFFECTIVE-INTEREST METHOD 0% NOTE DISCOUNTED AT 9%				
	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount of Note
Date of issue				\$ 7,721.80
End of year 1	\$-0-	\$ 694.96^a	\$ 694.96^b	8,416.76 ^c
End of year 2	-0-	757.51	757.51	9,174.27
End of year 3	-0-	825.73 ^d	825.73	10,000.00
	<u>\$-0-</u>	<u>\$2,278.20</u>	<u>\$2,278.20</u>	
^a $\$7,721.80 \times .09 = \694.96 ^c $\$7,721.80 + \$694.96 = \$8,416.76$ ^b $\$694.96 - 0 = \694.96 ^d 5¢ adjustment to compensate for rounding.				

Turtle Cove records interest expense for year 1 as follows.

Interest Expense ($\$7,721.80 \times 9\%$)	694.96
Notes Payable	694.96

Interest-Bearing Notes

Illustration: Marie Co. issued for cash a €10,000, three-year note bearing interest at 10 percent to Morgan Corp. The market rate of interest for a note of similar risk is 12 percent. In this case, because the effective rate of interest (12%) is greater than the stated rate (10%), the present value of the note is less than the face value. That is, the note is exchanged at a **discount**.

ILLUSTRATION 7-16
Computation of
Present Value—
Effective Rate
Different from
Stated Rate

Face value of the note		€10,000
Present value of the principal:		
€10,000 ($PVF_{3,12\%}$) = €10,000 × .71178	€7,118	
Present value of the interest:		
€1,000 ($PVF-OA_{3,12\%}$) = €1,000 × 2.40183	<u>2,402</u>	
Present value of the note		<u>9,520</u>
Difference (Discount)		<u><u>€ 480</u></u>

Interest-Bearing Notes

Illustration: Marie Co. issued for cash a €10,000, three-year note bearing interest at 10 percent to Morgan Corp. The market rate of interest for a note of similar risk is 12 percent. In this case, because the effective rate of interest (12%) is greater than the stated rate (10%), the present value of the note is less than the face value. That is, the note is exchanged at a **discount**.

Marie Co. records the issuance of the note as follows.

Cash	9,520	
Notes Payable		9,520

Interest-Bearing Notes

SCHEDULE OF NOTE DISCOUNT AMORTIZATION EFFECTIVE-INTEREST METHOD 10% NOTE DISCOUNTED AT 12%				
	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount of Note
Date of issue				€ 9,520
End of year 1	€1,000 ^a	€1,142 ^b	€142 ^c	9,662 ^d
End of year 2	1,000	1,159	159	9,821
End of year 3	1,000	1,179	179	10,000
	<u>€3,000</u>	<u>€3,480</u>	<u>€480</u>	
^a €10,000 × 10% = €1,000 ^c €1,142 – €1,000 = €142 ^b €9,520 × 12% = €1,142 ^d €9,520 + €142 = €9,662				

ILLUSTRATION 14-16
 Schedule of Note
 Discount Amortization

Interest-Bearing Notes

ILLUSTRATION 14-16
Schedule of Note
Discount Amortization

SCHEDULE OF NOTE DISCOUNT AMORTIZATION EFFECTIVE-INTEREST METHOD 10% NOTE DISCOUNTED AT 12%				
	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount of Note
Date of issue				€ 9,520
End of year 1	€1,000 ^a	€1,142 ^b	€142 ^c	9,662 ^d
End of year 2	1,000	1,159	159	9,821
End of year 3	1,000	1,179	179	10,000
	<u>€3,000</u>	<u>€3,480</u>	<u>€480</u>	
^a €10,000 × 10% = €1,000 ^c €1,142 – €1,000 = €142 ^b €9,520 × 12% = €1,142 ^d €9,520 + €142 = €9,662				

Marie Co. records the following entry at the end of year 1.

Interest Expense	1,142	
Notes Payable		142
Cash		1,000

Accounting for Serial Bonds

At the beginning of 2006; a company issued \$500,000 of ten-year, 10% serial bonds, to be repaid in the amount of \$50,000 each year. The bond issue costs were \$25,000. Assume that interest payments are made annually and that the bonds are issued to yield:

Case 1 9% p.a.

Case 2 11% p.a.

Accounting for Serial Bonds

Case 1: Bonds are issued to yield 9%

a. Proceeds of bond issue = PV (I) + PV (P)

	A	B	A+B		$A+B (1+i)^{-n}$
End of	Interest Due	Principal Due	Total Amount Due	Discount Factor (9%)	Present value
2006	50,000	50,000	100,000	0.917	91,700
2007	45,000	50,000	95,000	0.842	79,990
2008	40,000	50,000	90,000	0.772	69,480
2009	35,000	50,000	85,000	0.708	60,180
2010	30,000	50,000	80,000	0.650	52,000
2011	25,000	50,000	75,000	0.596	44,700
2012	20,000	50,000	70,000	0.547	38,290
2013	15,000	50,000	65,000	0.502	32,630
2014	10,000	50,000	60,000	0.460	27,600
2015	5,000	50,000	55,000	0.422	23,210
Totals	275,000	500,000	775,000		519,780
<i>Proceeds of Serial Bond issue @ 9% yield</i>					519,780

Accounting for Serial Bonds

b. Premium on bond issue

Total proceeds.....	\$519,780
Face value.....	<u>500,000</u>
Premium.....	<u>19,780</u>

c. Journal entry for the issuance of the serial bonds

Cash.....	519,780	
		Bonds payable.....519,780

d. Premium amortization table for the serial bonds using the interest method

Accounting for Serial Bonds

d. Premium amortization table for the serial bonds using the interest method

	B	C	D		A
Year	Interest Expense (9%*CV)	Interest Payment (10%*FV)	Premium Amortization (C-B)	Bond Premium Bal. (BB-D)	Carrying Amount
Issue	-	-	-	19,780	519,780
2006	46,780	50,000	3,220	16,560	466,560
2007	41,990	45,000	3,010	13,550	413,550
2008	37,220	40,000	2,780	10,770	360,770
2009	32,469	35,000	2,531	8,239	308,239
2010	27,742	25,000	2,258	5,981	255,981
2011	23,038	20,000	1,962	4,019	204,019
2012	18,362	15,000	1,638	2,381	152,381
2013	13,714	10,000	1,286	1,095	101,095
2014	9,099	5,000	901	194*	50,194
2015	4,517		483*	-	-

*Rounding up difference

Accounting for Serial Bonds

Journal entry to record the retirement of the first serial bond and the payment of the first interest for 1996:

Bonds payable.....	53, 220	
Bond Interest Expense.....	46,780	
Cash		100,000

Case 2: Bonds are issued to Yield 11%

a. Proceeds of bond issue = PV (I) + PV (P)

Accounting for Serial Bonds

	A	B	A+B	$(1+i)^{-n}$	$A+B (1+i)^{-n}$
End of	Interest Due	Principal Due	Total Amount Due	Discount factor (11%)	Present value
1996	50,000	50,000	100,000	0.901	90,100
1997	45,000	50,000	95,000	0.812	77,140
1998	40,000	50,000	90,000	0.731	65,790
1999	35,000	50,000	85,000	0.659	56,015
2000	30,000	50,000	80,000	0.593	47,440
2001	25,000	50,000	75,000	0.535	40,125
2002	20,000	50,000	70,000	0.482	33,740
2003	15,000	50,000	65,000	0.434	28,210
2004	10,000	50,000	60,000	0.391	23,460
2005	5,000	50,000	55,000	0.352	19,360
Totals	275,000	500,000	775,000		481,380
<i>Proceeds of Serial Bond issue @ 11% yield</i>					481,380

Accounting for Serial Bonds

b. Discount on bond issue

Face value.....	500,000
Total proceeds.....	<u>\$481,380</u>
Discount	<u>18,620</u>

c. Journal entry to record the issuance of the bonds

Cash	481,380
Bonds Payable.....	481,380

d. Discount amortization table using the interest method

Accounting for Serial Bonds

Year	Carrying Amount	Interest Expense (11%)	Interest Payment (10%)	Discount Amortization	Bond Discount Balance	Cumulative Principal Payment
Issue	481,380	-	-	-	18,620	-
1996	434,332	52,952	50,000	2,952	15,668	50,000
1997	387,109	47,777	45,000	2,777	12,891	100,000
1998	339,691	42,582	40,000	2,582	10,309	150,000
1999	292,057	37,366	35,000	2,366	7,943	200,000
2000	244,183	32,126	25,000	2,126	5,817	250,000
2001	196,043	26,860	20,000	1,860	3,957	300,000
2002	147,608	21,565	15,000	1,565	2,392	350,000
2003	98,845	16,237	10,000	1,237	1,155	400,000
2004	49,718	10,873	5,000	873	282*	450,000
2005	-	5,469		496*	-	500,000

*Rounding up difference

e. Journal entry to record the retirement of the first serial bond and the payment of the first interest for 1996:

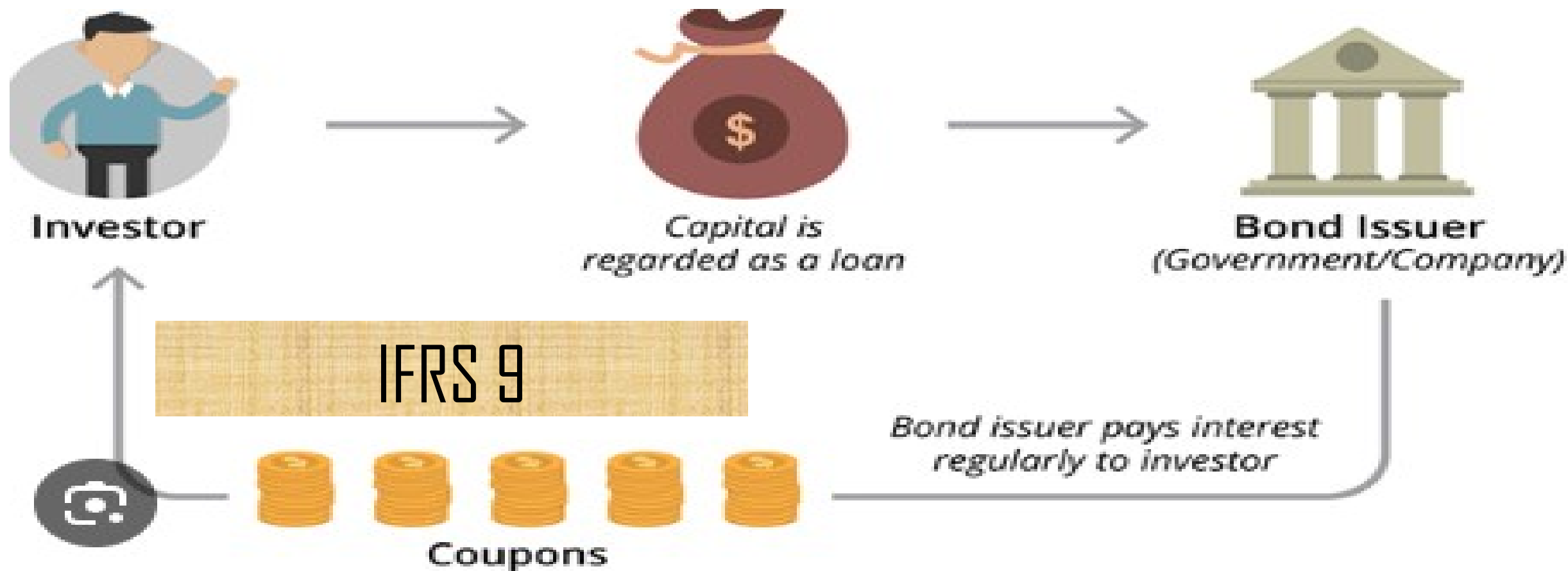
Bonds payable [50000-2952].....47048

Bond Interest Expense.....52,952

Cash..... 100,000

Intermediate Financial Accounting

Accounting for long term Investment (Investment in Financial instruments)



Part one (Debt investment)

By Kibrysaw Tutor

Long term Investment (Investing in Financial Assets)

Financial Asset

- ◆ Cash.
- ◆ Equity investment of another company (e.g., ordinary or preference shares).
- ◆ Debit investment - Contractual right to receive cash from another party (e.g., loans, receivables, and bonds).

Recognition

Recognize a financial asset or financial liability when, and only when, the entity becomes a party to the contractual provisions of the instrument (ie trade date)

Initial Measurement of Financial assets

Initially all financial asset shall be recognized at fair value. **Except for trade receivables**
Trade receivables shall initially be recognized at their transaction price.

ACCOUNTING FOR FINANCIAL ASSETS

Subsequent Measurement of Financial Assets

- ✓ subsequent measurement model for financial assets depends on their model/classification

IFRS requires that companies measure their financial assets based on two criteria:

- ◆ Company's business model for managing its financial assets; and
- ◆ Contractual cash flow characteristics of the financial asset.

Type of Investment	Assessment of Accounting Criteria	Valuation Approach
Debt	Meets business model (held-for-collection) and contractual cash flow tests.	Amortized cost
	Does not meet the business model test (not held-for-collection).	Fair value
Equity	Does not meet contractual cash flow test.	Fair value*

*For some equity investments for which the investor exercises some control over the investee, use the equity method.

Equity investments are generally recorded and reported at fair value.

**Business model =
hold to collect**

**Business model = hold
to collect and sell**

Other business model

**Cash flows are solely
payments of principal
and interest (SPPI)**

Amortised cost

FVOCI*

FVTPL

**Other types of cash
flows**

FVTPL

FVTPL

FVTPL

Only debt investments such as receivables, loans, and bond investments that meet the two criteria above are recorded at amortized cost. All other debt investments are recorded and reported at fair value.

DEBT INVESTMENTS

Debt investments are characterized by contractual payments on specified dates of

- ◆ principal and
- ◆ interest on the principal amount outstanding.

Companies measure debt investments at

- ◆ amortized cost or
- ◆ fair value.

Illustration: XYZ Company purchased \$500,000 of 10% bonds of ABC co. on January 1, 2020. The bonds mature January 1, 2022 and yield 12%; interest is payable each July 1 and January 1. Robinson records the investment as follows:

$$P_v(p) = \frac{500,000}{(1.06)^4} + 25,000 * (1 - (1/1.06^4)/0.06) = 482,675$$

<u>Investor (XYZ)</u>	
Debt investment	482675
Cash	482675

<u>Issuer (ABC)</u>		
Cash	482675	
	Bond payable	482675

Date	Cas received (paid)	Interest revenue (Expense)	Discount amortization	Carrying amount
1/1/2020				482675
7/1/2020	\$25,000.00	28960.5	\$3,960.50	\$486,636
1/1/2021	\$25,000.00	29198.13	\$4,198.13	\$490,834
7/1/2021	\$25,000.00	29450.0178	\$4,450.02	\$495,284
1/1/2022	\$25,000.00	29717.01887	\$4,717.02	\$500,000

records the receipt/payment of the first semiannual interest payment on July 1, 2020

<u>Investor (XYZ)</u>	
Cash	25,000
Interest revenue	28,960.5
Debt investment	3,960.50

<u>Investor (XYZ)</u>	
Interest expense	28960.5
Cash	25,000
bond payable	3,960.50

Assume that XYZ sells its investment March 30,2021 for 92 2/3 plus Accrued interest

Date	Cas received (paid)	Interest revenue (Expense)	Discount amortization	Carrying amount
1/1/2020				482675
7/1/2020	\$25,000.00	28960.5	\$3,960.50	\$486,636
1/1/2021	\$25,000.00	29198.13	\$4,198.13	\$490,834
7/1/2021	\$25,000.00	29450.0178	\$4,450.02	\$495,284
1/1/2022	\$25,000.00	29717.01887	\$4,717.02	\$500,000

Debt investment $(4,450 \times 3/6) = 2,225$
Interest revenue 2,225

Selling price of bond (exclusive of accrued interest) $500,000 \times 0.9275 = 463,750$

Less book value (carrying value) of the bond March 30,2021 = $2,225 + 490,834 = 493,059$

Loss from sales of bond = $463,750 - 493,059 = 29,309$

Selling price of bond (exclusive of accrued interest) $500,000 \times 0.9275 = 463,750$

Less book value (carrying value) of the bond March 30, 2021 = $2,225 + 490,834 = 493,059$

Loss from sales of bond = $463,750 - 493,059 = 29,309$

Investor

Cash ($463,750 + 12,500$)	476,250
loss on sales of Debt investment	29,309
Debt investment	493,059
Interest revenue	12,500

Issuer

Bond payable	493,059
Interest expense	12,500
Cash	493,059
Gain from exting. of bond	29,309

Debt Investments—Fair Value

Illustration: XYZ Company purchased \$500,000 of 10% bonds of ABC co. on January 1, 2020. The bonds mature January 1, 2022 and yield 12%; interest is payable each July 1 and January 1. Robinson records the investment as follows:

Entries are the same as those for amortized cost.

Jan. 1, 2020

<u>Investor (XYZ)</u>	
Debt investment	482675
Cash	482675

<u>Issuer (ABC)</u>	
Cash	482675
Bond payable	482675

July 1, 2020

<u>Investor (XYZ)</u>	
Cash	25,000
Interest revenue	28,960.5
Debt investment	3,960.50

<u>Investor (XYZ)</u>	
Interest expense	28960.5
Cash	25,000
bond payable	3,960.50

Date	Cash received (paid)	Interest revenue (Expense)	Discount amortization	Carrying amount
1/1/2020				482675
7/1/2020	\$25,000.00	28960.5	\$3,960.50	\$486,636
1/1/2021	\$25,000.00	29198.13	\$4,198.13	\$490,834
7/1/2021	\$25,000.00	29450.0178	\$4,450.02	\$495,284
1/1/2022	\$25,000.00	29717.01887	\$4,717.02	\$500,000

Its determined that, due to a decrease in interest rates, the fair value of the debt investment increased to \$502, 321 at December 31, 2020

Fair value at December 31,2020.	502,321
Amortization cost December 31,2020	490,384
Unrealized holding gain or loss	11,937

Fair Value Adjustment
11,937

Unrealized Holding Gain or Loss—Income
11,937

Intermediate Financial Accounting

Accounting for long term Investment (Investment in Financial Instrument)



Part Two (Equity Investment)

By Kibrysaw Tutor

EQUITY INVESTMENTS

Equity investment represents ownership of ordinary, preference, or other capital shares.

- ◆ Cost includes price of the security.(FV)
- ◆ Broker's commissions and fees are recorded as expense.

The degree to which one corporation (**investor**) acquires an interest in the common stock of another corporation (**investee**) generally determines the accounting treatment for the investment subsequent to acquisition.

<u>Percentage of Ownership</u>	0% ←→ 20% ←→ 50% ←→ 100%					
Level of influence	Little or None		Significant		Control	
Valuation method	Fair Value Method		Equity Method		Consolidation	

EQUITY INVESTMENTS

Category	Valuation	Unrealized Holding Gains or Losses	Other Income Effects
Holdings less than 20%			
1. Trading	Fair value	Recognized in net income	Dividends declared; gains and losses from sale.
2. Non-Trading	Fair value	Recognized in "Other comprehensive income" and as separate component of equity	Dividends declared; gains and losses from sale.
Holdings between 20% and 50%	Equity	Not recognized	Proportionate share of investee's net income.
Holdings more than 50%	Consolidation	Not recognized	Not applicable.

EQUITY INVESTMENTS (Holdings of Less Than 20%)

Under IFRS, the presumption is that equity investments are held-for-trading.

General accounting and reporting rule:

- ◆ Investments valued at fair value.
- ◆ Record unrealized gains and losses in net income.

Illustration: November 3, 2015, Tewedaje company purchased ordinary shares of Four companies, each investment representing less than a 20 percent interest. These shares are held-for-trading.

Investments	Cost
ordinary shares of X	\$520,000
ordinary shares of y	\$360,000
ordinary shares of z	\$480,000
ordinary shares of K	\$1,680,000

Tewdaje records these investments as follows:

Equity Investments	\$1,680,000
Cash	1,680,000

Equity Investments—Trading (Income)

On December 6, 2015, Republic receives a cash dividend of \$9,250 on its investment in the ordinary shares of Y

Cash 9,250

Dividend Revenue 9,250

Equity investment portfolio December 31, 2015			
Investments	carrying value	fair value	unrealized gain/ loss
ordinary shares of X	\$520,000	\$560,000	\$40,000
ordinary shares of y	\$360,000	\$340,00	\$(20,000)
ordinary shares of z	\$480,000	\$500,000	\$20,000
<i>Total portfolio</i>	<i>\$1,680,000</i>	<i>\$1,750,000</i>	<i>\$70,000</i>
<i>Previous period FV adjustment balance</i>			<i>0</i>
<i>Fair value adjustment</i>			<i>\$70,000</i>

Equity Investments—Trading (Income)

<i>Total portfolio</i>	<i>\$1,680,000</i>	<i>\$1,750,000</i>	<i>\$70,000</i>
<i>Previous period FV adjustment balance</i>			<i>0</i>
<i>Fair value adjustment</i>			<i>\$70,000</i>

Fair Value Adjustment	70,000	
Unrealized Holding Gain or Loss—Income		70,000

On February 6 , 2016, Tewedaje sold all of its X ordinary shares, receiving \$560,000.

	Net proceeds from sales	\$560,000
	Cost of Ordinary share sold	<u>\$520,000</u>
	Gain From sales of Share	40,000
Cash	560,000	
Equity Investments	520,000	
Gain on Sale of Equity Investment	40,000	

Equity Investments—Trading (Income)

In addition, assume that on February 10, 2016, Tewedaje purchased \$450,000 of L's company ordinary shares (30,000 shares \$15 per share), plus brokerage commissions of \$3,500. Tewedaje's equity investment portfolio as of December 31, 2016.

Equity investment portfolio December 31, 2016			
Investments	carrying value	fair value	unrealized gain/ loss
ordinary shares of L	\$450,000	\$470,000	\$20,000
ordinary shares of y	\$360,000	\$325,00	\$(35,000)
ordinary shares of z	\$480,000	\$505,000	\$25,000
ordinary shares of K	\$320,000	\$330,000	\$10,000
<i>Total portfolio</i>	<i>\$1,610,000</i>	<i>\$1,630,000</i>	<i>\$20,000</i>
<i>Previous period FV adjustment balance</i>			<i>70,000</i>
<i>Fair value adjustment</i>			<i>\$(50,000)</i>

<i>Total portfolio</i>	<i>\$1,610,000</i>	<i>\$1,630,000</i>	<i>\$20,000</i>
<i>Previous period FV adjustment balance</i>			<i>70,000</i>
<i>Fair value adjustment</i>			<i>\$(50,000)</i>

Tewedaje records this adjustment as follows.

Unrealized Holding Gain or Loss—Income	50,000
Fair Value Adjustment	50,000

Equity Investments—Non-Trading (OCI)

The accounting entries to record non-trading equity investments are the same as for trading equity investments, except for recording the unrealized holding gain or loss.

❖ Report the unrealized holding gain or loss as other comprehensive income (OCI).

Illustration: On December 10, 2015, Republic Corporation purchased 1,000 ordinary shares of Hawthorne Company for €20.75 per share (total cost €20,750). The investment represents less than a 20 percent interest. Hawthorne is a distributor for Republic products in certain locales, the laws of which require a minimum level of share ownership of a company in that region. The investment in Hawthorne meets this regulatory requirement. Republic accounts for this investment at fair value.

Equity Investments	20,750
Cash	20,750

Equity Investments—Non-Trading (OCI)

On December 27, 2015, Republic receives a cash dividend of €450 on its investment in the ordinary shares of Hawthorne Company. It records the cash dividend as follows.

Cash	450
Dividend Revenue	450

At December 31, 2015, Republic’s investment in Hawthorne has the carrying value and fair value shown.

<u>Non-Trading Equity Investment</u>	<u>Carrying Value</u>	<u>Fair Value</u>	<u>Unrealized Gain (Loss)</u>
Hawthorne Company	€20,750	€24,000	€3,250
Previous fair value adjustment balance			0
Fair value adjustment (Dr.)			<u>€3,250</u>

Republic records this adjustment as follows.

Fair Value Adjustment	3,250
Unrealized Holding Gain or Loss—Equity	3,250

Equity Investments—Non-Trading (OCI)

Statement of Financial Position

Investments	
Equity investments	€24,000
Equity	
Accumulated other comprehensive gain	€ 3,250

Statement of Comprehensive Income

Other income and expense	
Dividend revenue	€ 450
Other comprehensive income	
Unrealized holding gain	€ 3,250

On December 20, 2016, Republic sold all of its Hawthorne Company ordinary shares receiving net proceeds of €22,500.

<u>Non-Trading Equity Investment</u>	<u>Cost</u>	<u>Fair Value</u>	<u>Unrealized Gain (Loss)</u>
Hawthorne Company at 12/20/2016	€20,750	€22,500	€ 1,750
Previous fair value adjustment balance (Dr.)			(3,250)
Change in the Fair Value Adjustment account (loss)			<u>€(1,500)</u>

Equity Investments—Non-Trading (OCI)

Entry to adjust the carrying value of the non-trading investment.

Unrealized Holding Gain or Loss—Equity 1,500

Fair Value Adjustment 1,500

On December 20, 2016, Republic sold all of its Hawthorne Company ordinary shares receiving net proceeds of €22,500.

<u>Non-Trading Equity Investment</u>	<u>Cost</u>	<u>Fair Value</u>	<u>Unrealized Gain (Loss)</u>
Hawthorne Company at 12/20/2016	€20,750	€22,500	€ 1,750
Previous fair value adjustment balance (Dr.)			<u>(3,250)</u>
Change in the Fair Value Adjustment account (loss)			<u><u>€(1,500)</u></u>

Entry to record the sale of the investment.

Cash 22,500

Equity Investments 20,750

Fair Value Adjustment 1,750

Holdings Between 20% and 50%

An investment (direct or indirect) of 20 percent or more of the voting shares of an investee should lead to a presumption that in the absence of evidence to the contrary, an investor has the ability to exercise significant influence over an investee.

In case of "significant influence," the investor must account for the investment using the equity method.

Equity Method

Record the investment at cost and subsequently adjust the amount each period for

- ◆ the investor's proportionate share of the earnings (losses) and
- ◆ dividends received by the investor.

If investor's share of investee's losses exceeds the carrying amount of the investment, the investor ordinarily should discontinue applying the equity method.

Fair Value Method

On January 2, 2015, Maxi Company acquired 48,000 shares (20% of Mini Company ordinary shares) at a cost of \$10 a share.

For the year 2015, Mini Company reported net income of \$200,000; Maxi Company's share is 20%, or \$40,000.

At December 31, 2015, the Mini Company 48,000 shares have a fair value (market price) of \$12 a share, or \$576,000.

On January 28, 2016, Mini Company announced and paid a cash dividend of \$100,000; Maxi Company received 20%, or \$20,000.

For the year 2016, Mini reported a net loss of \$50,000; Maxi Company's share is 20%, or \$10,000.

At December 31, 2016, the Mini Company 48,000 shares have a fair value (market price) of \$11 a share, or \$528,000.

Unrealized Holding Gain or Loss—Income	48,000	No entry
Fair Value Adjustment		
$[(\$480,000 + \$96,000) - \$528,000]$	48,000	

Holdings Between 20% and 50%

Controlling Interest - When one corporation acquires a voting interest of more than 50 percent in another corporation.

- ◆ Investor is referred to as the **parent**.
- ◆ Investee is referred to as the **subsidiary**.
- ◆ Investment in the subsidiary is reported on the parent's books as a long-term investment.
- ◆ Parent generally prepares **consolidated financial statements**.

Reporting Treatment of Investments

Classification	Valuation Approach and Reporting on the Statement of Financial Position	Income Effects
Debt Investment 1. Meets business model (held-for-collection) and contractual cash flow tests. 2. Does not meet the business model test (not held-for-collection). 3. Fair value option	Amortized cost. Current or Non-current assets. Fair value. Current assets. Fair value. Current or Non-current assets.	Interest is recognized as revenue. Interest is recognized as revenue. Unrealized holding gains and losses are included in income. Interest is recognized as revenue. Unrealized holding gains and losses are included in income.
Equity Investment 1. Does not meet contractual cash flow test; holdings less than 20 percent (trading). 2. Does not meet contractual cash flow test; holdings less than 20 percent (non-trading). 3. Holdings greater than 20 percent (significant influence or control).	Fair value. Current assets. Fair value. Non-current assets. Investments originally recorded at cost with periodic adjustment for the investor's share of the investee's income or loss, and decreased by all dividends received from the investee. Non-current assets.	Dividends are recognized as revenue. Unrealized holding gains and losses are included in income. Dividends are recognized as revenue. Unrealized holding gains and losses are not included in income but in other comprehensive income. Revenue is recognized to the extent of the investee's income or loss reported subsequent to the date of the investment.

Intermediate /advanced Financial Accounting



IAS 12- INCOME TAX

By Kibrysaw Tutor (IFRS consultant & trainer, lecture, PhD candidate)

+251911063618

DEFINITION OF IMPORTANT TERMS

Accounting profit/loss $\equiv$ Profit or loss for the period before deducting tax expense. (IFRS)

- +Expense recognized but not deductible for tax purpose
- Expense not recognized but deductible for tax purpose
- income recognized, but not under tax law
- + income not recognized, but included under tax law

Taxable profit/loss $\equiv$ The profit (loss) for a period, determined in accordance with applicable tax rules on which income taxes are payable

Current income tax $\equiv$ The amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period

Taxable profit/loss $\times$ **Tax rate**

Tax expense ***
Tax payable ***

Differences

```
graph TD; A[Differences] --> B[permanent Differences]; A --> C[Temporary Differences];
```

permanent Differences

- ✓ Are differences that will remain unsolved period after period. Eg- donation, entertainment deference-
- ✓ Entities shall deduct or add back permanent differences from accounting profit in order to determine taxable profit

Temporary Differences

- ✓ Differences between the carrying amount of an asset or liability in the statement of financial position and its tax base
- ✓ Reconciled through periods
- ✓ Entities shall deduct or add back permanent differences from accounting profit in order to determine taxable profit & Result in differed tax
- ✓ Warranty expense, Depreciation expense

The Government specifies that:

Ethio telecom must each year pay a tax = 30% of taxable profit for the year
taxable profit is determined in accordance with IFRS adjusted for specified expenses that are excluded from the calculation of taxable income (ie donations and entertainment)

If the determination of taxable business income results in a loss in a tax period, that loss may be set off against taxable income in the next five (5) tax periods, earlier losses being set off before later losses.

Ethio telecom determines, accounting profit in accordance with IFRS:

profit for 2014 to be 900,000 (donation expense = 100,000)

loss for 2015 to be 400,000 (entertainment expense = 100,000)

Income tax



The aggregate amount included in the determination of net profit or loss for the period in respect of current tax and deferred tax

Current income tax

Deferred income tax

Substance

✓ payable to tax office

✓ Accounting measure

Base

✓ Taxable profit/loss

✓ Temporary Difference

Timing

✓ Current period

✓ Future period

Deferred income tax

Income tax payable or recoverable in future periods in respect of the temporary differences , unused tax losses and unused tax credits

Temporary difference



Tax rate

Differed income tax:
Temporary differences

Asset

Liability

carrying amount

=

Tax Base

carrying amount

=

Tax Base

CA > TB

CA < TB

CA < TB

CA > TB

Taxable Temporary
differences

Deductible Temporary
differences

Taxable Temporary
differences

Deductible Temporary
differences

Differed tax Liability

Differed tax Asset

Differed tax Liability

Differed tax Asset

Differed tax expense **
Differed tax liability **

Differed tax Asset **
Differed tax Income **

Differed tax expense **
Differed tax liability **

Differed tax Asset **
Differed tax Income **

Example 1

A company Purchased an asset Costing \$1,500. At the end of 2014 the carrying amount is \$1,000. The cumulative depreciation for tax purpose is \$900 and the current tax rate is 25%

$$\text{Carrying amount of the asset} = 1,000 \quad \text{Tax base of the Asset} = \$1,500 - 900 = 600$$

$$\text{Temporary Difference} = 1,000 - 600 = 400$$

Since Carrying amount of the asset is greater than its tax base the temporary difference is Taxable temporary Difference (Differed tax liability)

$$\text{DTL} = \text{Temporary Difference} \times \text{Tax rate} = 400 \times 0.25 = 100$$

Example 2

XYZ Co recognized a liability of \$10,000 for accrued Product warranty costs on 31 December 2013. These product warranty costs will not be deductible for tax purposes until the entity pays claims. The tax rate is 30%.

Carrying amount of the Liability = 10,000 Tax base of the Asset = \$0

Temporary Difference = 10,000 - 0 = 10,000

Since the carrying amount of the Liability is greater than its tax base, the temporary difference is a Deductible temporary Difference (Deferred tax Asset).

DTA = Temporary Difference $\times$ Tax rate = 10,000 $\times$ 0.3 = 3,000

Intermediate Financial Accounting



By Kibrysaw Tutor

Definitions

Revenue

Income arising in the course of an entity's ordinary activities

Contract

An agreement between two or more parties that creates enforceable rights and obligations

Contract asset

An entity's right to consideration in exchange for goods or services that is conditioned on something other than the passage of time (for example the entity's future performance).

Receivable

An entity's right to consideration that is unconditional – ie only the passage of time is required before payment is due

Contract liability

- An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer

Performance obligation

- A promise in a contract with a customer to transfer to the customer goods or services that are distinct

Stand-alone selling price

- The price at which an entity would sell a promised good or service separately to a customer

Transaction price

The amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties

Revenue recognition and measurement – 5 step model

Step 1

- Identify the contract(s) with a customer

Step 2

- Identify the performance obligation(s) in the contract

Step 3

- Determine the transaction price

Step 4

- Allocate the transaction price to the performance obligations in the contract

Step 5

- Recognize revenue when (or as) the entity satisfies a performance obligation

Assume that Marathon Motor signs a contract to sell A specified car to its customer. In addition to the car marathon agrees to provide a 2 year service and 1 year warranty to its customer for Birr 7,000,000. The company sells the same car for Birr 6,500,000 without the service

Step 1: Identify the contract with customers.

A contract is an agreement between two parties that creates enforceable rights or obligations. In this case, Marathon motor has signed a contract to deliver Car, 2 year service and 1 year assurance to its customer

Step 2: Identify the separate performance obligations in the contract.

Marathon has two performance obligation—to deliver the car and to provide 2 year service ..

Step 3: Determine the transaction price.

Transaction price is the amount of consideration that a company expects to receive from a customer in exchange for transferring a good or service. In this case, the transaction price is straightforward—it is Br.7million.

Step 4: Allocate the transaction price to the separate performance obligations.

In this case, marathon needs to allocate the transaction price to the car and its service performance obligations .

Step 5: Recognize revenue when each performance obligation is satisfied.

Airbus recognizes revenue of Br.6.5 million for the sale of the car when it satisfies its performance obligation—the delivery of the car and 500,000 when it performs the service.

Contract with Customers—Step 1

- ❖ Contract is an Agreement between two or more parties that creates enforceable rights or obligations.
- ❖ Can be written, oral, or implied from customary business practice.

Company applies the revenue guidance to a contract according to the following criteria in

Contract Criteria for Revenue Guidance

Apply Revenue Guidance to Contracts If:	Disregard Revenue Guidance to Contracts If:
■ The contract has commercial substance; ■ The parties to the contract have approved the contract and are committed to perform their respective obligations; ■ The company can identify each party's rights regarding the goods or services to be transferred; and ■ The company can identify the payment terms for the goods and services to be transferred. ■ It is probable that the company will collect the consideration to which it will be entitled.	■ The contract is wholly unperformed, and ■ Each party can unilaterally terminate the contract without compensation.

Separate Performance Obligations—Step 2

◆ To determine whether a company has to account for multiple performance obligations, it evaluates a second condition.

Whether the product is distinct within the contract.

- ▶ If performance obligation is not highly dependent on, or interrelated with, other promises in the contract, then each performance obligation should be accounted for separately.
- ▶ If each of these services is interdependent and interrelated, these services are combined and reported as one performance obligation.

Determining Transaction Price—Step 3

Transaction price

- ◆ Amount of consideration that company expects to receive from a customer.
- ◆ In a contract is often easily determined because customer agrees to pay a fixed amount.

Separate Performance Obligations—Step 2

Variable consideration

Amount of consideration can vary because of discounts, rebates, refunds, credits, price concessions, incentives, performance bonuses etc

Estimate using Expected Value or Most Likely Amount)

Existence of significant financing component

Adjust consideration if timing provides customer or entity with significant benefit of financing

Practical expedient – no adjustment if the period between consideration and transfer of good and service is one year or less

Non-cash consideration

Measure at **fair value**

If fair value cannot be estimated, measure consideration indirectly by reference to stand-alone selling price of the goods or services transferred

Variable Consideration

Facts: Solomon Construction Company enters into a contract with a customer to build a warehouse for Br.100,000, with a performance bonus of Br.50,000 that will be paid based on the timing of completion. The amount of the performance bonus decreases by 10% per week for every week beyond the agreed-upon completion date. The contract requirements are similar to contracts that Solomon has performed previously, and management believes that such experience is predictive for this contract. Management estimates that there is a 60% probability that the contract will be completed by the agreed-upon completion date, a 30% probability that it will be completed 1 week late, and only a 10% probability that it will be completed 2 weeks late.

Question: How should Solomon account for this revenue arrangement?

60% chance of Br.150,000 =	Br. 90,000
30% chance of Br.145,000 =	43,500
10% chance of Br.140,000 =	14,000
	Br.147,500

Most likely outcome, if management believes they will meet the deadline and receive the Br.50,000 bonus, the total transaction price would be?

Step 4- Allocating Transaction Price to Separate Performance Obligations

- ◆ Based on their relative fair values (selling price of the good or service for on a standalone basis.)
- ◆ If not available, companies should use their best estimate of what the good or service might sell for as a standalone unit.

Allocation Approach	Implementation
Adjusted market assessment approach	Evaluate the market in which it sells goods or services and estimate the price that customers in that market are willing to pay for those goods or services. That approach also might include referring to prices from the company's competitors for similar goods or services and adjusting those prices as necessary to reflect the company's costs and margins.
Expected cost plus a margin approach	Forecast expected costs of satisfying a performance obligation and then add an appropriate margin for that good or service.
Residual approach	If the standalone selling price of a good or service is highly variable or uncertain, then a company may estimate the standalone selling price by reference to the total transaction price less the sum of the observable standalone selling prices of other goods or services promised in the contract. ⁶

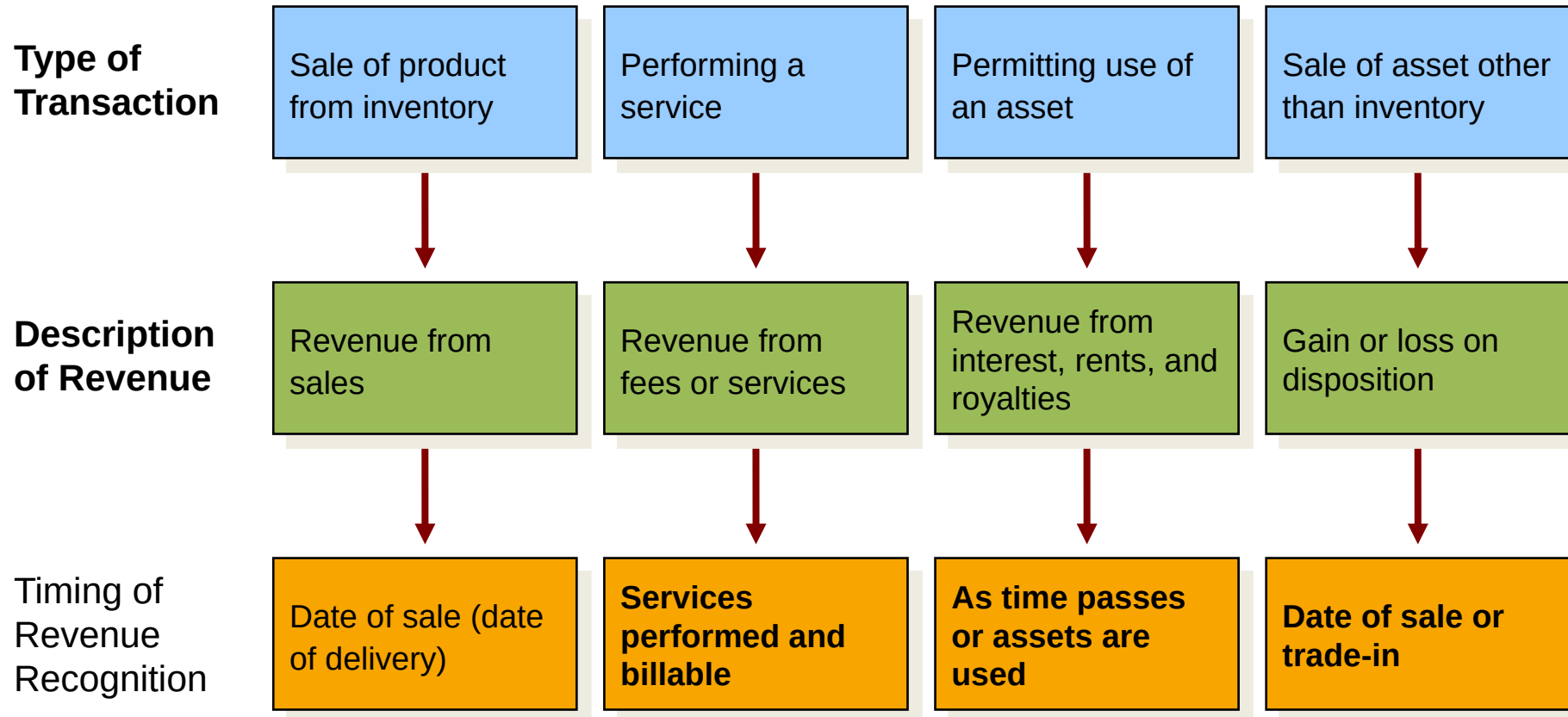
5. Recognizing Revenue When (or as) Each Performance Obligation Is Satisfied

Company satisfies its performance obligation when the customer obtains control of the good or service.

Change in Control Indicators

1. Company has a right to payment for asset.
2. Company has transferred legal title to asset.
3. Company has transferred physical possession of asset.
4. Customer has significant risks and rewards of ownership.
5. Customer has accepted the asset.

Revenue Recognition Situations



Summary of five steps

Step in Process

1. Identify the contract with customers.

2. Identify the separate performance obligations in the contract

A performance obligation is a promise in a contract to provide a product or service to a customer.

A performance obligation exists if the customer can benefit from the good or service on its own or together with other readily available resources

Implementation

A company applies the revenue guidance to contracts with customers and must determine if new performance obligations are created by a contract modification.

A contract may be comprised of multiple performance obligations.

Accounting is based on evaluation of whether the product or service is distinct within the contract. If each of the goods or services is distinct, but is interdependent and interrelated, these goods and services are combined and reported as one performance obligation.

Summary of five steps

<u>Step in Process</u>	<u>Description</u>	Implementation
3. Determine the transaction price.	Transaction price is the amount of consideration that a company expects to receive from a customer in exchange for transferring goods and services.	In determining the transaction price, companies must consider the following factors: 1. variable consideration, 2. time value of money, 3. Non-cash consideration, and 4. consideration paid or payable to customer.
3. Allocate the transaction price to the separate performance obligation	If more than one performance obligation exists, allocate the transaction price based on relative fair values	Companies satisfy performance obligations either at a point in time or over a period of time. Companies recognize revenue over a period of time if 1. the customer controls the asset as it is created or 2. the company does not have an alternative use for the asset.

Summary of five steps

Step in Process

5. Recognize revenue when each performance obligation is satisfied.

Description

A company satisfies its performance obligation when the customer obtains control of the good or service.

Implementation

Companies satisfy performance obligations either at a point in time or over a period of time. Companies recognize revenue over a period of time if

1. the customer controls the asset as it is created or
2. the company does not have an alternative use for the asset.

Intermediate Financial Accounting



Part 2 ➡ Revenue recognition in the long-term Contracts

By Kibrysfaw Tutor

Revenue recognition for long Term Contracts

The entity satisfies a performance obligation by transferring control of a promised good or service to the customer.

A performance obligation can be satisfied **at a point in time**, such as when goods are delivered to the customer, or **over time**

A company recognizes revenue over time if **at least one** of the following two criteria is met:

1. Company's performance creates or enhances an asset (e.g., work in process) that the customer controls as the asset is created or enhanced; or
2. Company's performance does not create an asset with an alternative use. In addition...

In addition at least one of the following criteria must be met:

- a. The customer simultaneously receives and consumes the benefits of the entity's performance as the entity performs.
- b. Another company would not need to substantially re-perform the work the company has completed to date if that other company were to fulfill the remaining obligation to the customer.
- c. The company has a right to payment for its performance completed to date, and it expects to fulfill the contract as promised.

Revenue recognition for long Term Contracts

If criterion 1 or 2 is met, then a company recognizes revenue over time if it can reasonably estimate its progress toward satisfaction of the performance obligations.

- ◆ Company recognizes revenues and gross profits each period based upon the progress of the construction—referred to as the **percentage-of-completion method**.
- ◆ If criteria are not met, the company recognizes revenues and gross profit when the contract is completed, referred to as the **cost-recovery (zero-profit) method**.

Percentage-of-Completion Method

Measuring the Progress Toward Completion

Most popular input measure used to determine the progress toward completion is the **cost-to-cost basis**.

LONG-TERM CONSTRUCTION CONTRACTS

Percentage-of-Completion Method (% Determined using cost-cost base)

$$\frac{\text{Costs incurred to date}}{\text{Most recent estimate of total costs}} = \text{Percent complete}$$

$$\text{Percent complete} \times \text{Estimated total revenue (or gross profit)} = \text{Revenue (or gross profit) to be recognized to date}$$

$$\text{Revenue (or gross profit) to be recognized to date} - \text{Revenue (or gross profit) recognized in prior periods} = \text{Current-period revenue (or gross profit)}$$

Illustration: Hardhat Construction Company has a contract to construct a Br.4,500,000 bridge at an estimated cost of Br.4,000,000. The contract is to start in July 2015, and the bridge is to be completed in October 2017. The following data pertain to the construction period.

	2015	2016	2017
Costs to date	£1,000,000	£2,916,000	£4,050,000
Estimated costs to complete	3,000,000	1,134,000	—
Progress billings during the year	900,000	2,400,000	1,200,000
Cash collected during the year	750,000	1,750,000	2,000,000

	2015	2016	2017
Cost to Date	1,000,000	2,916,000	4,050,000
Estimated cost to complete	3,000,000	1,134,000	0
Total Estimated cost of the project	4,000,000	4,050,000	4,050,000
% completed to date	(1M/4M)*100% =25%	(2.916M/4.05M)*100% =72%	(4.050M/4.05M)*100 =100%
% Completed (current year)	25%	72-25 = 47%	28%
Revenue of the period	25%*4,500,000= <u>1,125,00</u>	47%4,500,000 = <u>2,115,000</u>	28%*4,500,000= <u>1,260,000</u>
Cost incurred (current year)	1,000,000	1,916,000	1,134,000
Gross profit (Current year)	125,000	199,000	126,000

PERCENTAGE-OF-COMPLETION METHOD

	<u>2015</u>	<u>2016</u>	<u>2017</u>
Costs to date	£1,000,000	£2,916,000	£4,050,000
Estimated costs to complete	3,000,000	1,134,000	—
Progress billings during the year	900,000	2,400,000	1,200,000
Cash collected during the year	750,000	1,750,000	2,000,000

ILLUSTRATION 3A-5		<u>2015</u>	<u>2016</u>	<u>2017</u>
To record costs of construction:				
Construction in Process	1,000,000			
Materials, Cash, Payables, etc.		1,000,000		
To record progress billings:				
Accounts Receivable	900,000			
Billings on Construction in Process		900,000		
To record collections:				
Cash	750,000			
Accounts Receivable		750,000		

	2015	2016	2017
% completed to date	$(1\text{M}/4\text{M}) * 100\% = 25\%$	$(2.916\text{M}/4.05\text{M}) * 100\% = 72\%$	$(4.050\text{M}/4.05\text{M}) * 100 = 100\%$
% Completed (current year)	25%	$72 - 25 = 47\%$	28%
Revenue of the period	$25\% * 4,500,000 =$ <u>1,125,00</u>	$47\% * 4,500,000 =$ <u>2,115,000</u>	$28\% * 4,500,000 =$ <u>1,260,000</u>
Cost incurred (current year)	1,000,000	1,916,000	1,134,000
Gross profit (Current year)	125,000	199,000	126,000

	2015	2016	2017
To recognize revenue and gross profit:			
Construction in Process (gross profit)	125,000		
Construction Expenses	1,000,000		
Revenue from Long-Term Contracts	1,125,000		
To record completion of the contract:			
Billings on Construction in Process			
Construction in Process			

PERCENTAGE-OF-COMPLETION METHOD

Content of Construction in Process Account—Percentage-of-Completion Method

Construction in Process			
2015 Construction costs	£1,000,000	12/31/17	To close
2015 Recognized gross profit	125,000		completed
2016 Construction costs	1,916,000		project
2016 Recognized gross profit	199,000		£4,500,000
2017 Construction costs	1,134,000		
2017 Recognized gross profit	126,000		
Total	<u>£4,500,000</u>	Total	<u>£4,500,000</u>

Financial Statement Presentation—Percentage-of-Completion

Computation of Unbilled Contract Price at 12/31/15

Contract revenue recognized to date: £4,500,000	$\times \frac{£1,000,000}{£4,000,000}$	£1,125,000
Billings to date		<u>(900,000)</u>
Unbilled revenue		<u>£ 225,000</u>

PERCENTAGE-OF-COMPLETION METHOD

Financial Statement Presentation—Percentage-of-Completion Method (2015)

HARDHAT CONSTRUCTION COMPANY	
Income Statement (from Illustration 18A-6)	2015
Revenue from long-term contracts	£1,125,000
Costs of construction	1,000,000
Gross profit	<u>£ 125,000</u>
Statement of Financial Position (12/31)	2015
Current assets	
Accounts receivable (£900,000 – £750,000)	£ 150,000
Inventory	
Construction in process	£1,125,000
Less: Billings	<u>900,000</u>
Costs and recognized profit in excess of billings	225,000

PERCENTAGE-OF-COMPLETION METHOD

Financial Statement Presentation—Percentage-of-Completion Method (2016)

HARDHAT CONSTRUCTION COMPANY	
<u>Income Statement</u> (from Illustration 18A-6)	2016
Revenue from long-term contracts	£2,115,000
Costs of construction	<u>1,916,000</u>
Gross profit	<u>£ 199,000</u>
<u>Statement of Financial Position (12/31)</u>	
Current assets	
Accounts receivable ($£150,000 + £2,400,000 - £1,750,000$)	£ 800,000
Current liabilities	
Billings	£3,300,000
Less: Construction in process	<u>3,240,000</u>
Billings in excess of costs and recognized profits	60,000

Cost-Recovery (Zero-Profit) Method

This method recognizes revenue only to the extent of costs incurred that are expected to be recoverable. Only after all costs are incurred is gross profit recognized.

	<u>To Date</u>	<u>Recognized in Prior Years</u>	<u>Recognized in Current Year</u>
<u>2015</u>			
Revenues (costs incurred)	£1,000,000		£1,000,000
Costs	1,000,000		1,000,000
Gross profit	<u>£ 0</u>		<u>£ 0</u>
<u>2016</u>			
Revenues (costs incurred)	£2,916,000	£1,000,000	£1,916,000
Costs	2,916,000	1,000,000	1,916,000
Gross profit	<u>£ 0</u>	<u>£ 0</u>	<u>£ 0</u>
<u>2017</u>			
Revenues (£4,500,000 × 100%)	£4,500,000	£2,916,000	£1,584,000
Costs	4,050,000	2,916,000	1,134,000
Gross profit	<u>£ 450,000</u>	<u>£ 0</u>	<u>£ 450,000</u>

COST-RECOVERY (ZERO-PROFIT) METHOD

	<u>To Date</u>	<u>Recognized in Prior Years</u>	<u>Recognized in Current Year</u>
<u>2015</u>			
Revenues (costs incurred)	£1,000,000		£1,000,000
Costs	<u>1,000,000</u>		<u>1,000,000</u>
Gross profit	<u>£ 0</u>		<u>£ 0</u>
<u>2016</u>			
Revenues (costs incurred)	£2,916,000	£1,000,000	£1,916,000
Costs	<u>2,916,000</u>	<u>1,000,000</u>	<u>1,916,000</u>
Gross profit	<u>£ 0</u>	<u>£ 0</u>	<u>£ 0</u>
<u>2017</u>			
Revenues (£4,500,000 × 100%)	£4,500,000	£2,916,000	£1,584,000
Costs	<u>4,050,000</u>	<u>2,916,000</u>	<u>1,134,000</u>
Gross profit	<u>£ 450,000</u>	<u>£ 0</u>	<u>£ 450,000</u>

	<u>2015</u>	<u>2016</u>	<u>2017</u>
Construction Expenses	1,000,000	1,916,000	
Revenue from Long-Term Contracts (To recognize costs and related expenses)	1,000,000	1,916,000	
Construction in Process (Gross Profit)			450,000
Construction Expenses			1,134,000
Revenue from Long-Term Contracts (To recognize costs and related expenses)			1,584,000
Billings on Construction in Process			4,500,000
Construction in Process (To record completion of the contract)			4,500,000

COST-RECOVERY (ZERO-PROFIT) METHOD

	<u>To Date</u>	<u>Recognized in Prior Years</u>	<u>Recognized in Current Year</u>
<u>2015</u>			
Revenues (costs incurred)	£1,000,000		£1,000,000
Costs	1,000,000		1,000,000
Gross profit	<u>£ 0</u>		<u>£ 0</u>
<u>2016</u>			
Revenues (costs incurred)	£2,916,000	£1,000,000	£1,916,000
Costs	2,916,000	1,000,000	1,916,000
Gross profit	<u>£ 0</u>	<u>£ 0</u>	<u>£ 0</u>
<u>2017</u>			
Revenues ($£4,500,000 \times 100\%$)	£4,500,000	£2,916,000	£1,584,000
Costs	4,050,000	2,916,000	1,134,000
Gross profit	<u>£ 450,000</u>	<u>£ 0</u>	<u>£ 450,000</u>

	<u>Percentage-of-Completion</u>	<u>Cost-Recovery</u>
2015	£125,000	£ 0
2016	199,000	0
2017	126,000	450,000

Financial Reporting (IFRSs)

Financial Statements

GROUP CASH FLOW STATEMENT

	2008	2009	2010
Operating activities			
Cash generated from continuing operations	1,800	(1,000)	1,000
Income taxes paid	(1,000)	(1,000)	(1,000)
Dividend income received	1,000	1,000	1,000
Interest paid	(1,000)	(1,000)	(1,000)
Payments relating to exceptional charges	(1,000)	(1,000)	(1,000)
Net cash flow from continuing operating activities	1,800	(1,000)	1,000
Net cash flow from discontinued operating activities	(1,000)	(1,000)	(1,000)
Net cash flow from operating activities	800	(2,000)	0
Proceeds of business sale of cash and cash equivalents acquired	1,000	1,000	1,000
Sale of business sale of cash and cash equivalents disposed of	(1,000)	(1,000)	(1,000)
Purchase of intangible assets	(1,000)	(1,000)	(1,000)
Purchase of property, plant and equipment	(1,000)	(1,000)	(1,000)
Purchase of property, plant and equipment and intangible assets	(1,000)	(1,000)	(1,000)
Net cash flow from investing activities	(1,000)	(1,000)	(1,000)
Proceeds from issue of ordinary shares	1,000	1,000	1,000
Proceeds from issue of preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Net cash flow from financing activities	3,000	3,000	3,000
Net change in cash and cash equivalents	2,800	(2,000)	2,000
Cash and cash equivalents at beginning of period	1,200	1,200	1,200
Cash and cash equivalents at end of period	4,000	(800)	3,200

IAS 7 STATEMENT OF CASH FLOW

Financial Statements

STATEMENT OF CASH FLOW

	2008	2009	2010
Operating activities			
Cash generated from continuing operations	1,800	(1,000)	1,000
Income taxes paid	(1,000)	(1,000)	(1,000)
Dividend income received	1,000	1,000	1,000
Interest paid	(1,000)	(1,000)	(1,000)
Payments relating to exceptional charges	(1,000)	(1,000)	(1,000)
Net cash flow from continuing operating activities	1,800	(1,000)	1,000
Net cash flow from discontinued operating activities	(1,000)	(1,000)	(1,000)
Net cash flow from operating activities	800	(2,000)	0
Proceeds of business sale of cash and cash equivalents acquired	1,000	1,000	1,000
Sale of business sale of cash and cash equivalents disposed of	(1,000)	(1,000)	(1,000)
Purchase of intangible assets	(1,000)	(1,000)	(1,000)
Purchase of property, plant and equipment	(1,000)	(1,000)	(1,000)
Purchase of property, plant and equipment and intangible assets	(1,000)	(1,000)	(1,000)
Net cash flow from investing activities	(1,000)	(1,000)	(1,000)
Proceeds from issue of ordinary shares	1,000	1,000	1,000
Proceeds from issue of preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Proceeds from issue of convertible preference shares	1,000	1,000	1,000
Net cash flow from financing activities	3,000	3,000	3,000
Net change in cash and cash equivalents	2,800	(2,000)	2,000
Cash and cash equivalents at beginning of period	1,200	1,200	1,200
Cash and cash equivalents at end of period	4,000	(800)	3,200

BY: Kibrysfaw Getahun
Lecturer, trainer & consultant

STATEMENT OF CASH FLOWS

Cash and cash equivalent

Cash  Cash on hand, demand deposits, checks

Cash equivalent  short term investment which are readily convertible to known amount of cash with in short period of time

- ❖ Statement of cash flow is An important element of financial reporting with objective of “**Assessing the amounts, timing, and uncertainty of cash flows.**”
- ❖ IASB requires the **statement of cash flows** (also called the cash flow statement).
- ❖ Differ from other Financial statements because it follows cash base of accounting

STATEMENT OF CASH FLOWS

Primary Purpose: To provide relevant information about the *cash receipts* and *cash payments* of an enterprise during a period.

Statement provides answers to the following questions:

1. Where did the cash come from?
2. What was the cash used for?
3. What was the change in the cash balance?

STATEMENT OF CASH FLOWS

Content and Format (has Three Section)

Operating Activities

Transactions that enter into the determination of net income

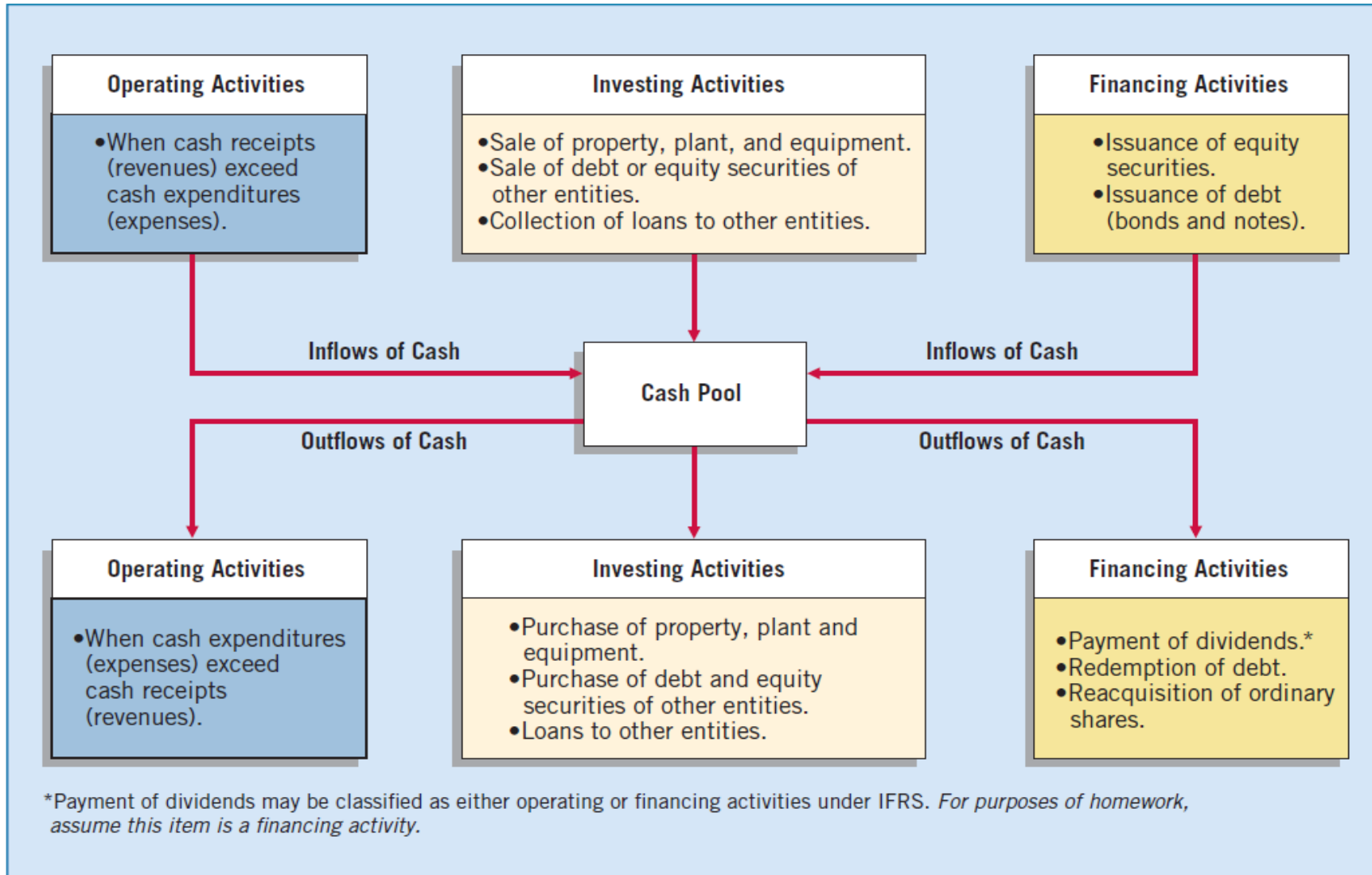
Investing Activities

Making and collecting loans and acquiring and disposing of investments and property, plant, and equipment

Financing Activities

Transactions involving liability and equity items

CONTENT AND FORMAT



Format of the Statement of Cash Flows

COMPANY NAME STATEMENT OF CASH FLOWS PERIOD COVERED		
Cash flows from operating activities		
Net income		XXX
Adjustments to reconcile net income to net cash provided (used) by operating activities:		
(List of individual items)	<u>XX</u>	<u>XX</u>
Net cash provided (used) by operating activities		XXX
Cash flows from investing activities		
(List of individual inflows and outflows)	<u>XX</u>	
Net cash provided (used) by investing activities		XXX
Cash flows from financing activities		
(List of individual inflows and outflows)	<u>XX</u>	
Net cash provided (used) by financing activities		<u>XXX</u>
Net increase (decrease) in cash		XXX
Cash at beginning of period		<u>XXX</u>
Cash at end of period		<u><u>XXX</u></u>

STATEMENT OF CASH FLOWS

Preparation of the Statement of Cash Flows

Sources of Information

Information obtained from several sources:

1. comparative statements of financial position,
2. current income statement, and
3. selected transaction data.

Two approaches to prepare statement of cash flow

1. Direct approach
2. Indirect approach

Classification of Cash Flows

Operating

Cash inflows

From sales of goods or services.

From returns on loans (interest) and on equity securities (dividends).

Cash outflows

To suppliers for inventory.

To employees for services.

To government for taxes.

To lenders for interest.

To others for expenses.

Income
Statement
Items



Classification of Cash Flows

Investing

Cash inflows

- From sale of property, plant, and equipment.
- From sale of debt or equity securities of other entities.
- From collection of principal on loans to other entities.

Cash outflows

- To purchase property, plant, and equipment.
- To purchase debt or equity securities of other entities.
- To make loans to other entities.

Generally
Investments
and Non-
Current Asset
Items

Financing

Cash inflows

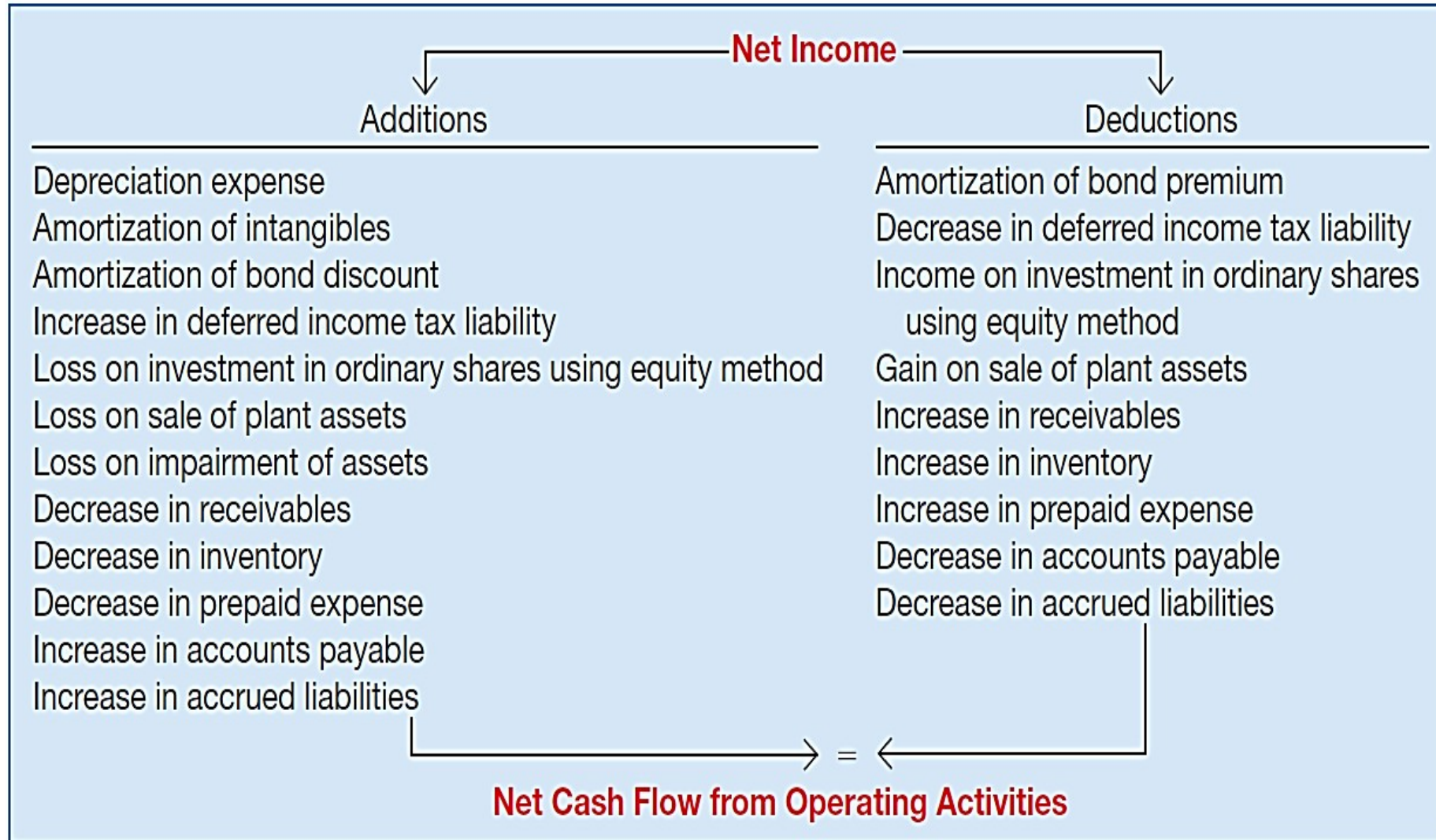
- From sale of equity securities.
- From issuance of debt (bonds and notes).

Cash outflows

- To shareholders as dividends.
- To redeem long-term debt or reacquire share capital.

Generally
Equity and
Non-Current
Liability Items

Indirect Method—Additional Adjustments



Preparation of Statement of Cash Flows

Illustration: On January 1, 2015, in its first year of operations, Telemarketing Inc. issued 50,000 ordinary shares of \$1 par value for \$50,000 cash. The company rented its office space, furniture, and telecommunications equipment and performed marketing services throughout the first year. In June 2015, the company purchased land for \$15,000.

The following Illustration shows the company's comparative statements of financial position at the beginning and end of 2015.

TELEMARKETING INC.
STATEMENTS OF FINANCIAL POSITION

<u>Assets</u>	<u>Dec. 31, 2015</u>	<u>Jan. 1, 2015</u>	<u>Increase/Decrease</u>
Land	\$15,000	\$—	\$15,000 Increase
Accounts receivable	41,000	—	41,000 Increase
Cash	31,000	—	31,000 Increase
Total	<u><u>\$87,000</u></u>	<u><u>\$—</u></u>	
<u>Equity and Liabilities</u>			
Share capital	\$50,000	\$—	50,000 Increase
Retained earnings	25,000	—	25,000 Increase
Accounts payable	12,000	—	12,000 Increase
Total	<u><u>\$87,000</u></u>	<u><u>\$—</u></u>	

TELEMARKETING INC.
INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2015

Revenues	\$172,000
Operating expenses	<u>120,000</u>
Income before income tax	52,000
Income tax	<u>13,000</u>
Net income	<u><u>\$ 39,000</u></u>

Additional information:

Dividends of \$14,000 were paid during the year.

TELEMARKETING INC.
STATEMENTS OF FINANCIAL POSITION

Assets	Dec. 31, 2015	Jan. 1, 2015	Increase/Decrease
Land	\$15,000	\$-0-	\$15,000 Increase
Accounts receivable	41,000	-0-	41,000 Increase
Cash	31,000	-0-	31,000 Increase
Total	<u>\$87,000</u>	<u>\$-0-</u>	

Increase in accounts receivable
reflects a non-cash increase of
\$41,000 in revenues.

50,000 Increase
25,000 Increase
12,000 Increase

Cash provided by operating activities

Net income		\$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	→ \$(41,000)	
Increase in accounts payable	<u>12,000</u>	<u>(29,000)</u>
Net cash provided by operating activities		<u>\$10,000</u>

TELEMARKETING INC.
STATEMENTS OF FINANCIAL POSITION

Assets	Dec. 31, 2015	Jan. 1, 2015	Increase/Decrease
Increase in accounts payable reflects a non-cash increase of \$12,000 in expenses.			\$15,000 Increase 41,000 Increase 31,000 Increase
Share capital	\$50,000	\$-0-	50,000 Increase
Retained earnings	25,000	-0-	25,000 Increase
Accounts payable	12,000	-0-	12,000 Increase
Total	<u>\$87,000</u>	<u>\$-0-</u>	

Cash provided by operating activities

Net income		\$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	\$(41,000)	
Increase in accounts payable	<u>12,000</u>	<u>(29,000)</u>
Net cash provided by operating activities		<u>\$10,000</u>

Preparing the Statement of Cash Flows

Telemarketing Inc.'s investing and financing activities.

- ◆ Purchased land for \$15,000.
- ◆ Issued ordinary shares for \$50,000.
- ◆ Paid \$14,000 in dividends.

Investing and Financing Activities

**Purchased land
for \$15,000**
(Investing)



TELEMARKETING INC. STATEMENT OF CASH FLOWS FOR THE YEAR ENDED DECEMBER 31, 2015		
Cash flows from operating activities		
Net income		\$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	\$(41,000)	
Increase in accounts payable	<u>12,000</u>	<u>(29,000)</u>
Net cash provided by operating activities		10,000
Cash flows from investing activities		
Purchase of land	<u>(15,000)</u>	
Net cash used by investing activities		(15,000)
Cash flows from financing activities		
Issuance of ordinary shares	50,000	
Payment of cash dividends	<u>(14,000)</u>	
Net cash provided by financing activities		<u>36,000</u>
Net increase in cash		31,000
Cash at beginning of year		<u>-0-</u>
Cash at end of year		<u><u>\$31,000</u></u>

Investing and Financing Activities

Issued ordinary
shares for
\$50,000
(Financing)

TELEMARKETING INC. STATEMENT OF CASH FLOWS FOR THE YEAR ENDED DECEMBER 31, 2015		
Cash flows from operating activities		
Net income		\$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	\$(41,000)	
Increase in accounts payable	<u>12,000</u>	<u>(29,000)</u>
Net cash provided by operating activities		10,000
Cash flows from investing activities		
Purchase of land	<u>(15,000)</u>	
Net cash used by investing activities		(15,000)
Cash flows from financing activities		
Issuance of ordinary shares	50,000	
Payment of cash dividends	<u>(14,000)</u>	
Net cash provided by financing activities		<u>36,000</u>
Net increase in cash		31,000
Cash at beginning of year		<u>-0-</u>
Cash at end of year		<u><u>\$31,000</u></u>

Investing and Financing Activities

**Paid \$14,000 in
dividends
(Financing)**



TELEMARKETING INC. STATEMENT OF CASH FLOWS FOR THE YEAR ENDED DECEMBER 31, 2015		
Cash flows from operating activities		
Net income		\$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	\$(41,000)	
Increase in accounts payable	<u>12,000</u>	<u>(29,000)</u>
Net cash provided by operating activities		10,000
Cash flows from investing activities		
Purchase of land	<u>(15,000)</u>	
Net cash used by investing activities		(15,000)
Cash flows from financing activities		
Issuance of ordinary shares	50,000	
Payment of cash dividends	<u>(14,000)</u>	
Net cash provided by financing activities		<u>36,000</u>
Net increase in cash		31,000
Cash at beginning of year		<u>-0-</u>
Cash at end of year		<u><u>\$31,000</u></u>

Preparation of Statement of Cash Flows

Keyser Beverage Company reported the following items in the most recent year.

		<u>Activity</u>
Net income	\$40,000	Operating
Dividends paid	5,000	Financing
Increase in accounts receivable	10,000	Operating
Increase in accounts payable	7,000	Operating
Purchase of equipment	8,000	Investing
Depreciation expense	4,000	Operating
Issue of notes payable	20,000	Financing

Required: Determine if each item should be classified as an operating, investing, or financing activity.

BE 5-12

Statement of Cash Flow (in thousands)

Operating activities

Net income	\$ 40,000
Increase in accounts receivable	(10,000)
Increase in accounts payable	7,000
Depreciation expense	4,000
Net cash provided by operating activities	<u>41,000</u>

Investing activities

Purchase of equipment	<u>(8,000)</u>
-----------------------	----------------

Financing activities

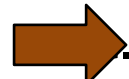
Dividends paid	(5,000)
Proceeds from notes payable	<u>20,000</u>
Net cash provided by financing activities	<u>15,000</u>

Increase in cash	<u>\$ 48,000</u>
-------------------------	-------------------------

Preparation of Statement of Cash Flows

Question

In preparing a statement of cash flows, which of the following transactions would be considered an investing activity?

-  a. Sale of equipment at book value
- b. Sale of merchandise on credit
- c. Declaration of a cash dividend
- d. Issuance of bonds payable.

Preparation of Statement of Cash Flows

Significant Non-Cash Activities

Reported in a **separate note** to the financial statements.

Examples include:

- ◆ Issuance of ordinary shares to purchase assets.
- ◆ Conversion of bonds into ordinary shares.
- ◆ Issuance of debt to purchase assets.
- ◆ Exchanges on long-lived assets.

NESTOR COMPANY
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2015

Cash flows from operating activities		
Net income		€320,750
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation expense	€88,400	
Amortization of intangibles	16,300	
Gain on sale of plant assets	(8,700)	
Increase in accounts receivable (net)	(11,000)	
Decrease in inventory	15,500	
Decrease in accounts payable	(9,500)	91,000
Net cash provided by operating activities		411,750
Cash flows from investing activities		
Sale of plant assets	90,500	
Purchase of equipment	(182,500)	
Purchase of land	(70,000)	
Net cash used by investing activities		(162,000)
Cash flows from financing activities		
Payment of cash dividend	(19,800)	
Issuance of ordinary shares	100,000	
Redemption of bonds	(50,000)	
Net cash provided by financing activities		30,200
Net increase in cash		279,950
Cash at beginning of year		135,000
Cash at end of year		€414,950 ¹

¹Cash Flow Note

A non-cash investing and financing activity was the purchase of equipment through issuance of €50,000 of bonds.

Usefulness of Statement of Cash Flows

Without cash, a company will not survive.

Cash flow from Operations:

- ◆ High amount - able to generate sufficient cash from operations to pay its bills without further borrowing.
- ◆ Low or negative amount - may have to
 - ▶ borrow or
 - ▶ issue equity securities.

PREPARATION OF STATEMENT OF CASH FLOWS

Usefulness of the Statement of Cash Flows

Provides information to help assess:

1. Entity's ability to generate future cash flows.
2. Entity's ability to pay dividends and meet obligations.
3. Reasons for the difference between net income and net cash flow from operating activities.
4. Cash and noncash investing and financing transactions during the period.